Q2FY26 Review: Capex moderates

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Highlights

Q2FY26 was yet another quarter marked by soft earnings growth. Key highlights:

i) **Q2FY26 profit margins peaking out:** BSE500 (ex-OMCs) posted top-line/profit growth of 9%/6% YoY—with profit margins now peaking out. As regards sectors, profits of industrials, durables, power and BFSI moderated, whereas that of cement, chemicals and autos accelerated.

ii) **Capex growth slows sharply:** BSE500 capex growth has slowed to just 4% YoY in H1FY26 (versus 12% in FY25, 20% CAGR over FY22–24). The moderation in capex was across the board, barring the power sector, and is mainly due to weak top-line growth. It risks compounding the downturn.

iii) **SMID profits outpace large-caps:** SMID profit growth outpaced large-caps' largely owing to low base. Consensus is forecasting a sharp acceleration in SMID profits in H2FY26E/27E—which we think could disappoint given subdued demand dynamics. Will SMIDs' valuation premium sustain?

iv) **Wage bill growth stays muted:** BSE500's Q2FY26 wage bill growth was 6–7% YoY—sixth straight quarter of sub-10% wage bill growth. This could weigh on consumption outlook. While income/GST tax cuts could help somewhat, government spending slowdown cloud the outlook.

v) **H2FY26/FY27 earnings asking rate remains high:** FY26E earnings stand trimmed by 1%. However, consensus is building in a steep earnings acceleration for H2FY26E/FY27E—16%/18% growth (versus 7% in H1FY26). The acceleration is premised on improvement in profit margins rather than top line—a tall ask given the already-high margins and weak demand dynamics.

Overall, BSE500 profit has now reconciled with the weak top line. Risks going ahead are profits undershooting top line.

For 2026, demand outlook is uncertain despite GST cuts given global deflationary dynamic of narrowing US trade deficit What's Trending - Oct 2025, corporate capex cuts, weak HH incomes and fiscal consolidation (by GoI). This along with elevated margins (limited room for efficiencies) makes earnings acceleration look challenging—in our view—posing risks to consensus estimates.

A weak earnings outlook amid still-high valuations could cap the upside. We prefer large-caps over SMIDs and consumption over capex given the policy support.

Highlights (continued)

Sectoral trends: In retrospect, and prospects

- **Domestic consumption:** Some strong segments of post-covid recovery (Apparel, Hotels, Hospitals) are now reporting moderation. Durables continued to remain weak while Autos recorded earnings acceleration. Income tax and GST rate cuts could help margins going ahead, but weak income dynamics and slow government spending imply risks to consumption.

- **Domestic investment:** Cement companies' EBITDA/t improved, whereas profitability of Industrials' weakened. These trends are likely to persist.

- **Global exporters:** IT companies' earnings and top lines remained muted, whereas that of Auto Exporters' weakened. Pharma and Chemical companies reported a decent Q2FY26. Going ahead, exporters' earnings could be at risk given ongoing global trade tensions.

- **Commodities:** A mixed bag. Ferrous companies' profits were subdued, whereas that of non-ferrous improved. Energy companies posted a YoY improvement in GRMs, but that was mainly off a very low base.

- **Financials:** Profit growth has moderated sharply to sub-10%, although somewhat better than expectations. Banks' NIMs seem to be stabilising on a sequential basis, but credit costs rose. Going ahead, consensus expects NIMs to improve in H2FY26, which could be at risk.

Nifty earnings and portfolio allocation

- **Nifty earnings:** FY26E EPS has been trimmed by 1%. Consumers and Industrials faced earnings cuts, whereas PSU banks' earnings were upgraded. Consensus FY25E/26E/27E Nifty EPS: INR1,010/1,090/1,260.

- **Market view and portfolio allocation:** Easing liquidity conditions and consumption stimulus are welcome. But slowing profits amid high valuations cap upside potential. We maintain a defensive bias with a large UW on cyclicals. Prefer consumption over capex.

OW: Consumer, Telecom, IT, and Cement

UW: Industrials, BFSI and Power

Q2FY26 earnings snapshot by sector

Sector	Revenue Growth		EBITDA Growth		PAT Growth		EBITDA margin	
	YoY Actual (%)	YoY Estimate (%)	YoY Actual (%)	YoY Estimate (%)	YoY Actual (%)	YoY Estimate (%)	QoQ Actual (bps)	QoQ Estimate (bps)
Commodity sectors	**6**	**(1)**	**27**	**21**	**32**	**23**	**18**	**42**
OMCs	2	(1)	184	143	583	431	95	4
Energy (ex OMC)	8	(4)	9	7	(4)	(2)	(30)	184
Metals & Mining	9	4	15	11	18	11	(137)	(110)
Exports/High global exposure	**(15)**	**2**	**(5)**	**(1)**	**(3)**	**5**	**292**	**(0)**
Chemicals	11	2	17	7	57	34	95	82
IT	7	5	8	5	5	8	51	27
Pharmaceuticals	12	9	16	8	12	10	74	(32)
Domestic Investment	**13**	**12**	**14**	**15**	**34**	**19**	**(12)**	**0**
Power	5	5	6	6	19	10	141	136
Industrials / Infra	13	14	15	14	18	17	36	8
Cement	21	14	55	45	230	74	(312)	(329)
Real estate	17	18	12	26	46	35	38	459
EMS	26	24	26	30	56	(19)	(54)	(31)
Domestic consumption	**16**	**12**	**16**	**15**	**12**	**18**	**(94)**	**(67)**
Domestic Auto	17	15	17	13	16	15	49	17
Telecom	23	18	35	28	70	81	64	(27)
FMCG	7	8	4	0	5	(3)	36	(48)
Durables	8	10	20	28	21	30	40	83
Apparel / retail	12	2	8	0	5	9	(127)	(112)
Internet	118	62	11	8	(21)	(7)	(179)	(16)
Consumer services	11	11	(14)	21	(151)	110	(1,095)	(524)
BFSI	**2**	**5**	**1**	**4**	**2**	**1**	**NA**	**NA**
Private Banks	(2)	5	2	4	(5)	(1)	NA	NA
PSU Banks	0	3	(10)	(4)	6	(2)	NA	NA
NBFC	18	18	21	21	25	24	NA	NA
Non lending financials	16	16	18	19	1	7	NA	NA
Insurance	10	1	NA	NA	11	(5)	NA	NA
Coverage	**4**	**4**	**11**	**11**	**13**	**12**	**(183)**	**(450)**
Ex BFSI	**5**	**4**	**15**	**13**	**18**	**16**	**35**	**14**
Ex Commodities	**3**	**8**	**5**	**7**	**8**	**8**	(13)	**(94)**
Ex BFSI and Commodities	**4**	**8**	**9**	**9**	**12**	**13**	74	**(7)**
Ex OMCs	**5**	**6**	**7**	**7**	**7**	**7**	(41)	**(50)**
Nifty	**1**	**4**	**5**	**7**	**5**	**7**	**98**	**83**

Profit growth still remains soft

The Nuvama coverage universe (ex-OMCs) posted 7% YoY profit growth, in line with our estimates. This is the sixth straight quarter of single-digit earnings growth.

Domestic investment

Profits of cement companies were strong, beating estimates, whereas that of Industrials' were weak.

Domestic consumption

Stronger segments such as Consumer Services and Retail faced profit pressures, whereas Domestic Auto posted strong numbers.

Exports

Exports auto earnings slowed; Chemicals reported decent profits while profits of IT companies stabilised.

BFSI

Banks' profits moderated, although PSU banks posted results above estimates. Credit costs for the sector have now started to increase.

Commodities

Earnings were strong for non-ferrous and OMCs, whereas they remained subdued for Energy.

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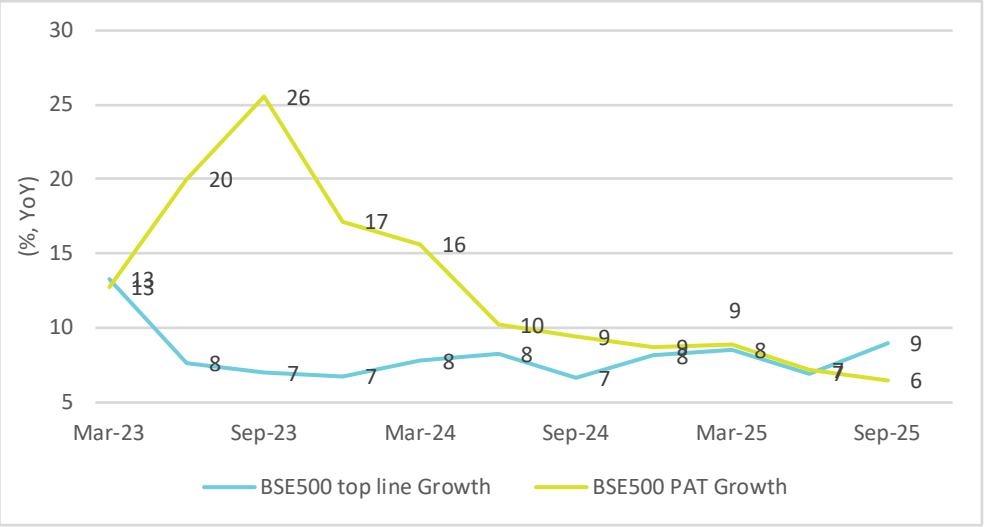
Source: Bloomberg, Nuvama Research; Note: Estimates are for Bloomberg consensus

Five key highlights

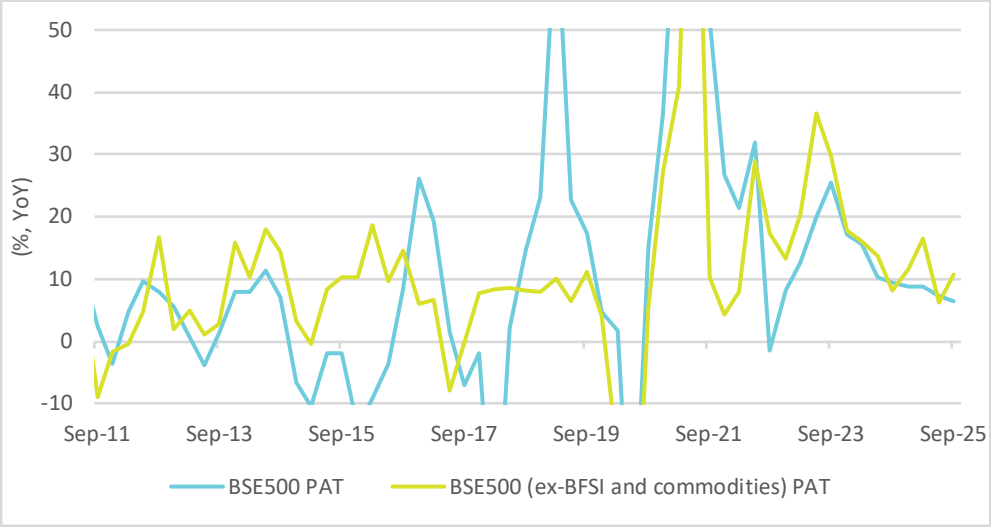
1. Q2FY26 earnings: Earnings momentum remains weak

PAT growth moderates further in QFY26…



Source: Capitaline, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space;
Note: For BFSI, NII + OI is considered as top line

…with even core companies' (ex-BFSI and commodities) profits decelerating



Source: Capitaline, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space
Note: For BFSI, NII + OI is considered as top line

- For BSE500 (ex-OMCs), Q2FY26 was another soft quarter of profit growth. Top line and profit growth were both in single digits. This is a trend very similar to that prevalent in FY25.
- However, Q2FY26 is perhaps the first quarter in last three years wherein profit growth undershot top-line growth.

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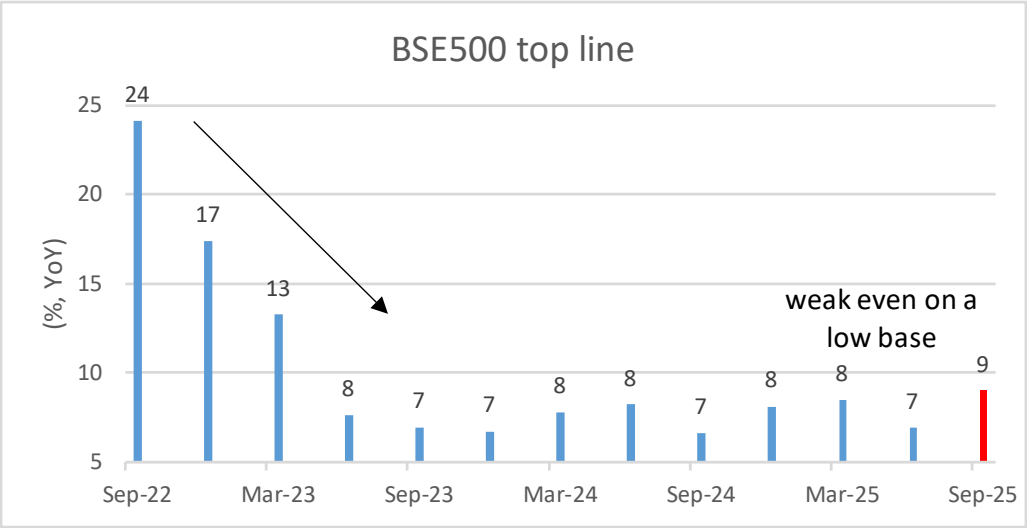
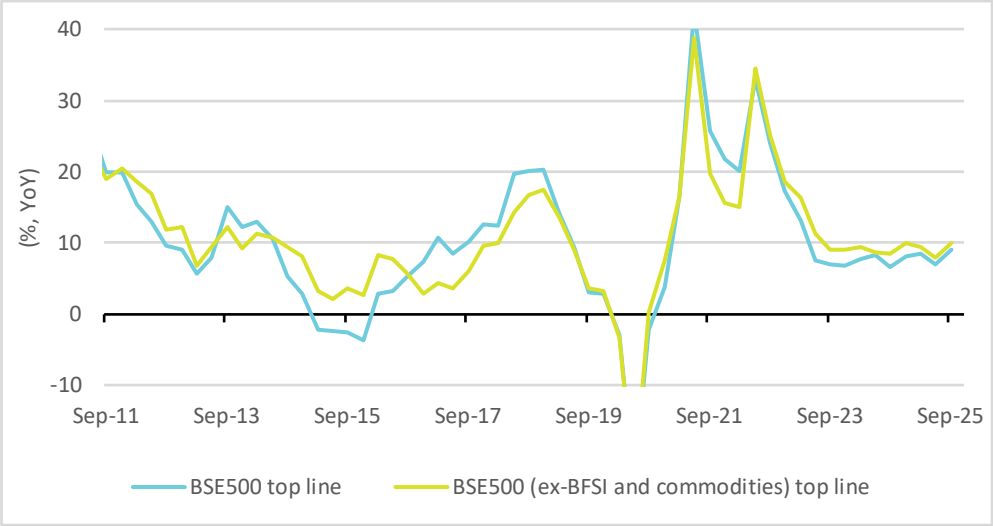
Top-line growth stays soft for 10th consecutive quarter…

Top-line growth remains in single digits for a tenth straight quarter…



Source: Capitaline, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space
Note: For BFSI, NII + OI is considered as top line

…with aggregate and top-line (ex-BFSI and commodities) growth being weak



Source: Capitaline, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space

- Top-line growth remained at a single digit—in Q2FY26—for a tenth consecutive quarter.
- Top-line growth for even core companies (ex-commodities and -BFSI) remained stable at subdued levels.

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Top-line divergences are now reconciling

Top-line slowdown is now broadening…

Sector	FY 25 Topline (in INR Tn)	Share in FY25 Topline (%)	FY25 Growth (%, YoY)	H1FY26 Growth (%, YoY)
Domestic consumption	**27**	**27**	**11**	**11**
Domestic Auto	9	8	11	12
FMCG	3	3	7	6
Telecom	2	2	17	10
Durables	2	2	14	5
Consumer services	2	2	16	13
Apparel / retail	1	1	14	5
Jewellery	1	1	23	28
Paints	1	1	-2	2
Internet	1	1	18	50
Domestic investment	**15**	**15**	**10**	**12**
Industrials / Infra	8	8	11	11
Power	4	4	7	7
Cement	2	2	0	15
Real estate	1	1	18	12
EMS	1	1	86	48
Exporters	**19**	**19**	**6**	**5**
IT	9	8	6	7
Export Auto	5	5	1	-6
Pharmaceuticals	4	3	11	12
Chemicals	2	2	9	9
Commodities	**27**	**26**	**4**	**6**
Energy	14	14	5	5
Metals & Mining	13	12	2	7
BFSI	**14**	**14**	**11**	**8**
PSU banks	6	6	9	7
Private banks	4	4	7	5
NBFC	3	3	20	14
Non lending financials	0	0	21	3
BSE500	**103**	**100**	**8**	**8**
BSE500 (ex BFSI)	**89**	**86**	**7**	**8**
BSE500 (ex BFSI and commodities)	**62**	**60**	**9**	**9**

- In FY25, top-line growth slowed for domestic cyclicals—BFSI, Industrials, Autos, etc. Top-line dispersion within sectors is reducing.

H1FY26: Some key trends:

- **Segments with continued weakness in top line:** Industrials, IT, FMCG, Export Auto
- **Segments that posted sharp deceleration:** Durables, Apparel/Retail, BFSI, EMS.
- **Segments whose top lines accelerated:** Cement, Metals

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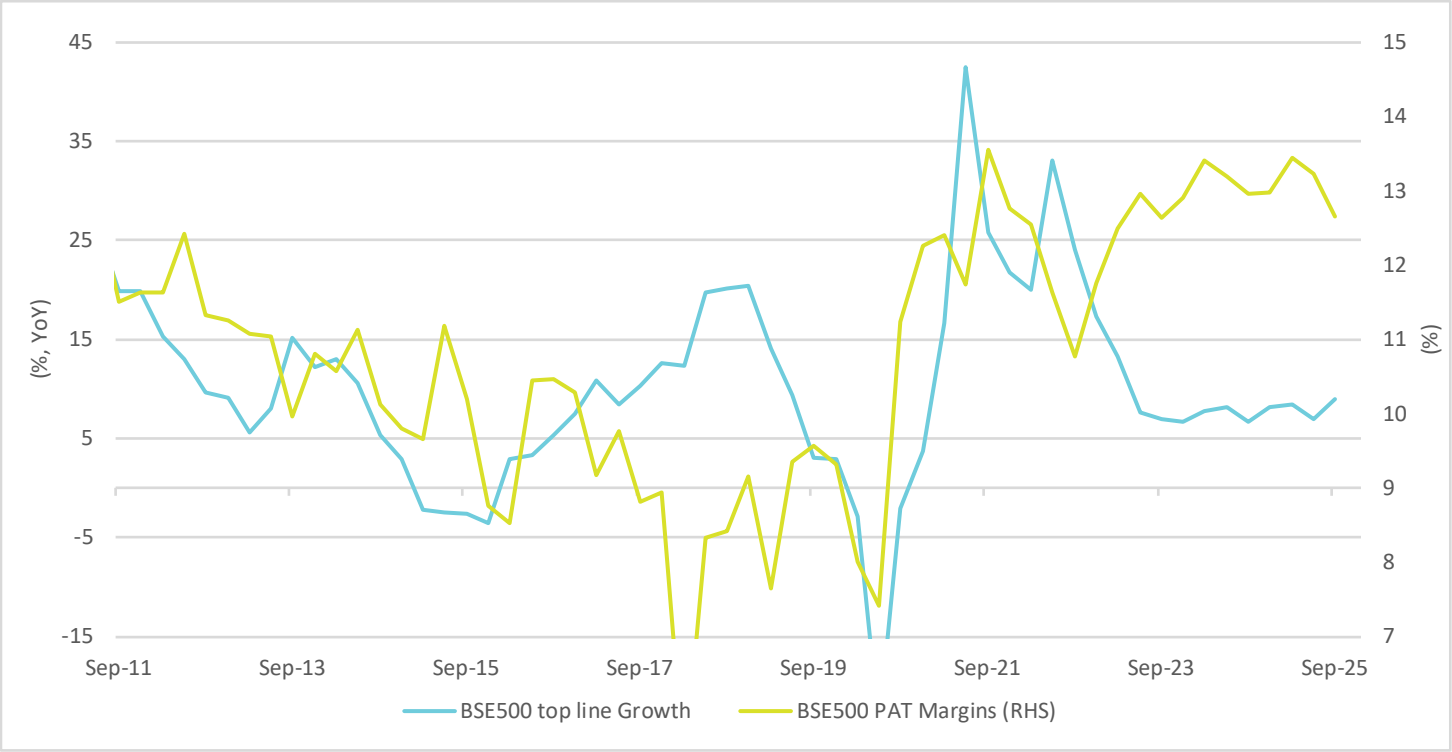
Source: Capitaline, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space

Margins have started to moderate; beginning of a trend?

BSE500 PAT margin expansion may be stabilising



Source: Capitaline, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space

- Post-covid, profit recovery has been mainly led by margins rather than top line. The improvement in margin is a function of cost efficiencies of India Inc, restructuring of balance sheets (lower interest expense and credit costs) and better pricing power owing to scrambled-up supply chains. In FY25, the margin expansion largely stalled; in FY26, margin pressures seem to be cropping up. Q2FY26 was a quarter of margin compression after many quarters—is this a beginning of a trend?

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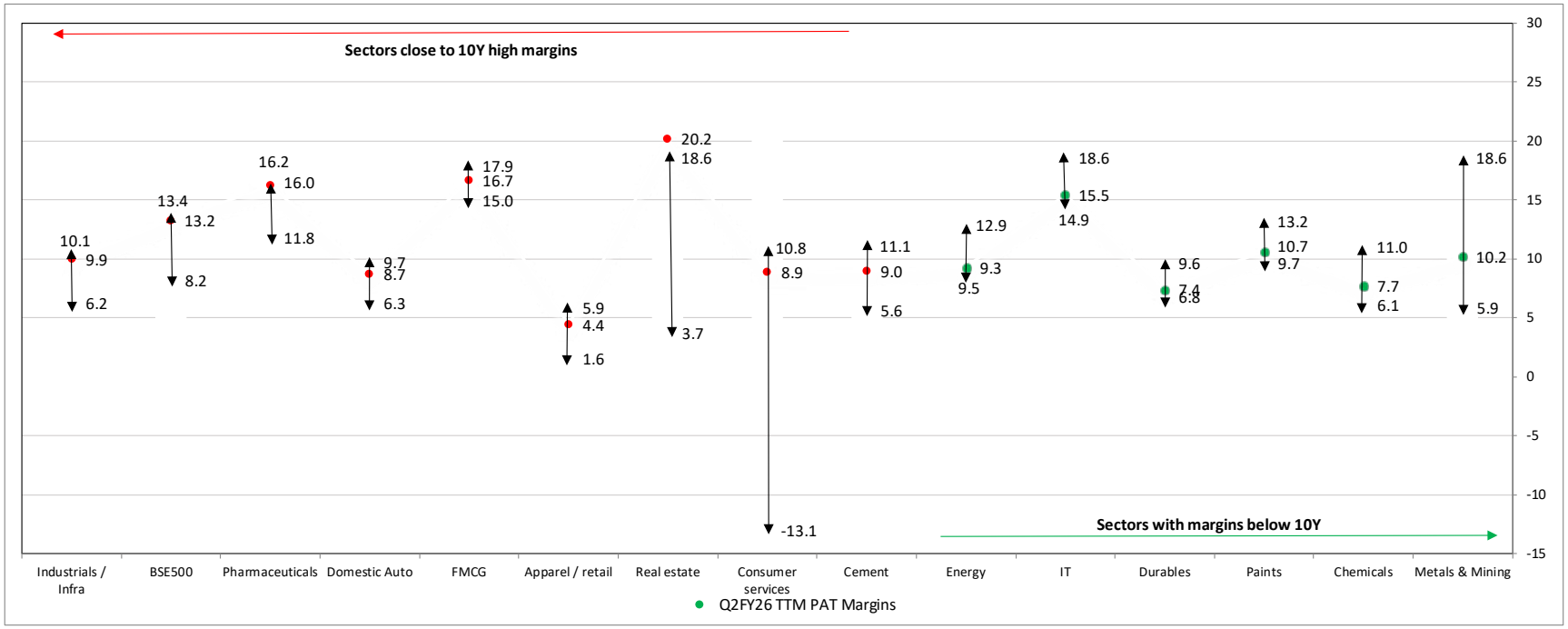
Many sectors close to peak margins — capping upside potential

BSE500 margins by sector –



Source: Bloomberg, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space; the top and bottom are last 10Y peak and bottom, respectively.

- As regards sectors, margins for most are close to decadal highs. That said, margins for many sectors seem to be peaking out and moving lower.
- Consensus is, however, forecasting further margin expansion for most sectors. We argue this could be difficult to achieve, unless demand improves or there is a supply-side tailwind from oil prices.

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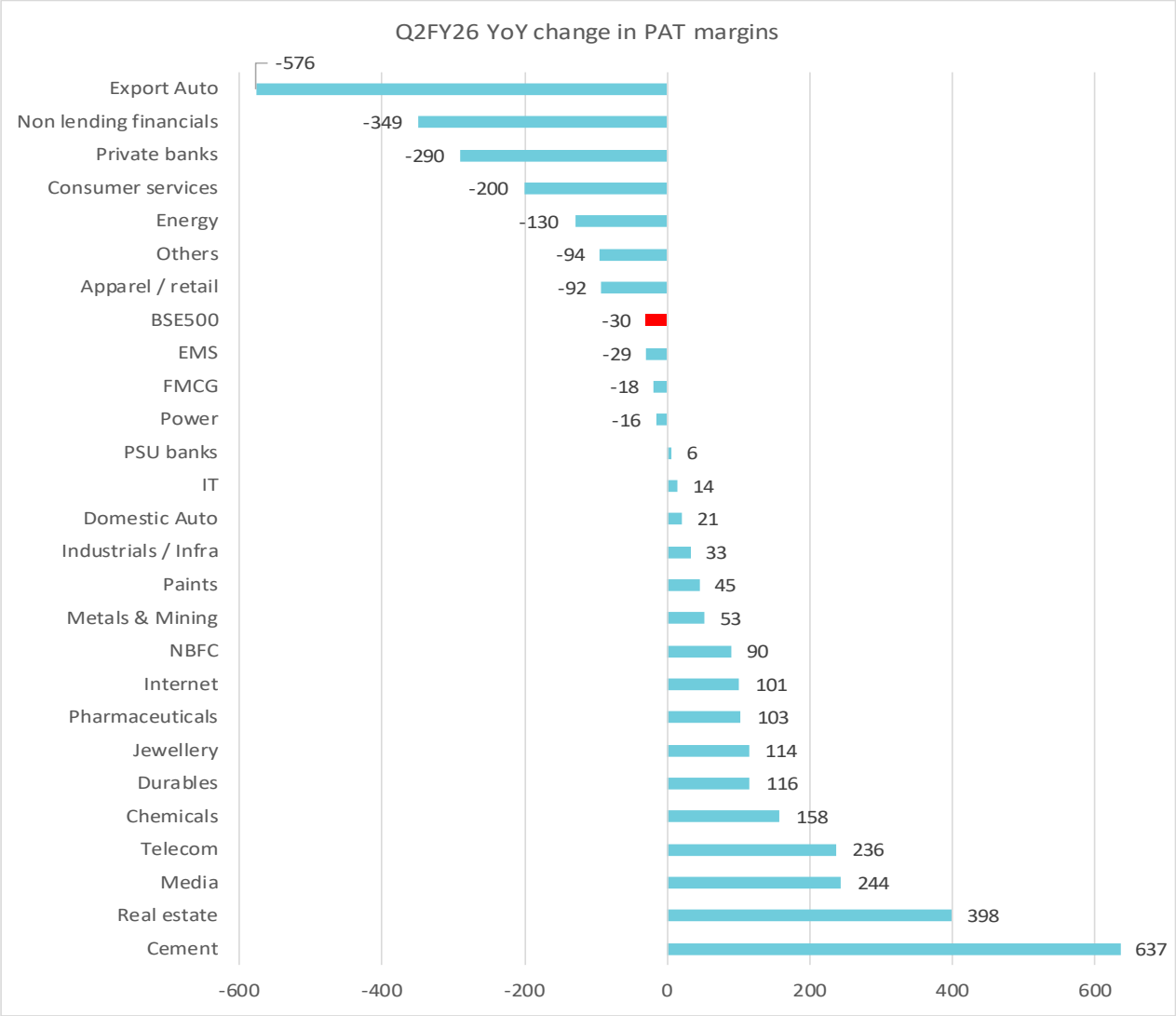
Margin mean reversion seems to have set in

BSE500 YoY PAT margins by sector –



- If one takes a sectoral view, profit margins now seem to be mean-reverting.
- In fact, in some spaces, wherein margins are currently high—FMCG, Industrials, Consumer Services, BFSI—pressure is now building up.
- Cement and Chemicals, wherein margins are on the lower side, are showing signs of improvement.

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Source: Capitaline, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space

Sectorally, profits churning

Sector	FY 25 PAT (INR tn)	Share in FY25 PAT (%)	FY25 Growth (%, YoY)	H1FY26 Growth (%, YoY)
Domestic consumption	**2.3**	**17**	**13**	**8**
Domestic Auto	0.7	6	8	12
FMCG	0.5	4	2	3
Telecom	0.3	2	102	23
Durables	0.1	1	11	8
Consumer services	0.2	1	5	-10
Apparel / retail	0.1	0	9	-14
Jewellery	0.0	0	-1	58
Paints	0.1	0	-20	-0
Internet	0.0	0	101	NA
Domestic investment	**1.7**	**12**	**11**	**17**
Industrials / Infra	0.8	6	14	8
Power	0.6	4	11	8
Cement	0.2	1	-12	118
Real estate	0.1	1	32	29
EMS	0.0	0	88	31
Exporters	**2.3**	**17**	**11**	**4**
IT	1.3	10	9	8
Export Auto	0.3	2	-5	-75
Pharmaceuticals	0.6	4	19	15
Chemicals	0.2	1	24	33
Commodities	**2.4**	**18**	**-0**	**5**
Energy	1.3	10	-5	0
Metals & Mining	1.1	8	7	12
BFSI	**4.8**	**36**	**11**	**6**
PSU banks	1.9	14	22	8
Private banks	1.6	12	3	0
NBFC	1.1	8	9	12
Non lending financials	0.3	2	7	0
BSE500	**13.5**	**100**	**9**	**7**
BSE500 (ex BFSI)	**8.7**	**64**	**8**	**8**
BSE500 (ex BFSI and commodities)	**6.3**	**46**	**13**	**8**

A profit churn seems to be underway.

- **Leaders of FY24/25 are now lagging:** Industrials, Real Estate, Power and EMS are posting a moderation in profit growth. Even BFSI profit growth is tapering as NIMs come under pressure and tailwinds from lower credit costs are now behind.
- **While some laggards are gaining momentum:** Chemicals, Cement and metals have logged a good improvement in profitability.
- **Sectors that have remained lacklustre:** IT and FMCG, wherein weak profit growth has persisted even in FY26 to date.

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Source: Capitaline, Nuvama Research
Note: OMCs and fertilisers are excluded from BSE500 sample space

2. Cashflows – Operating cash flows weaken in H1FY26

Operating cash flows moderate –

Source: Capitaline, Nuvama Research;
Note: OMCs and fertilisers are excluded from the sample space

- Operating cash flows for H1FY26 have moderated and are now flat YoY. This is mainly the outcome of weak demand and stalling of margin expansion.
- Going ahead, if demand weakness persists, then operating cash flows could remain subdued.

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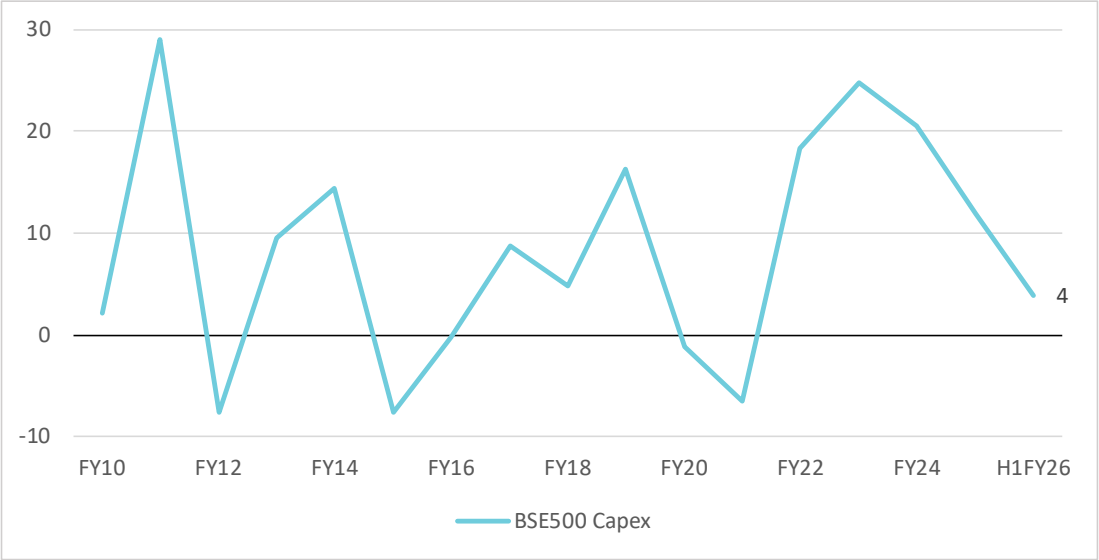
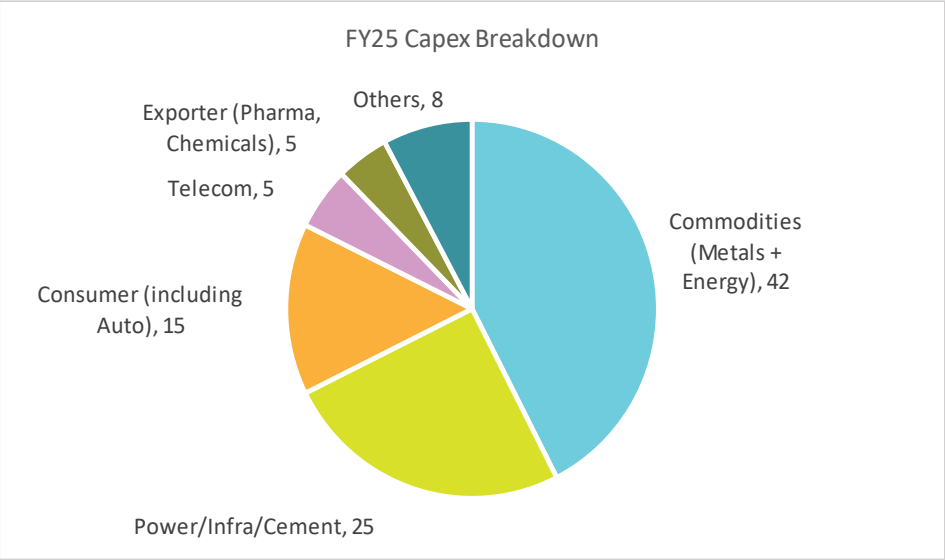
Capex growth now slowing sharply

BSE500 capex growth now slowing down –



Source: Capitaline, Nuvama Research

BSE500 capex breakdown –



Source: Capitaline, Nuvama Research

- While operating cash flows have moderated, capex growth has slowed even more sharply for India Inc. After clocking 20% capex CAGR from FY21–24, growth moderated to 12% in FY25 and has now slowed to just 4% YoY in H1FY26.
- The moderation in capex growth is worrying as it will work to reinforce the downturn.

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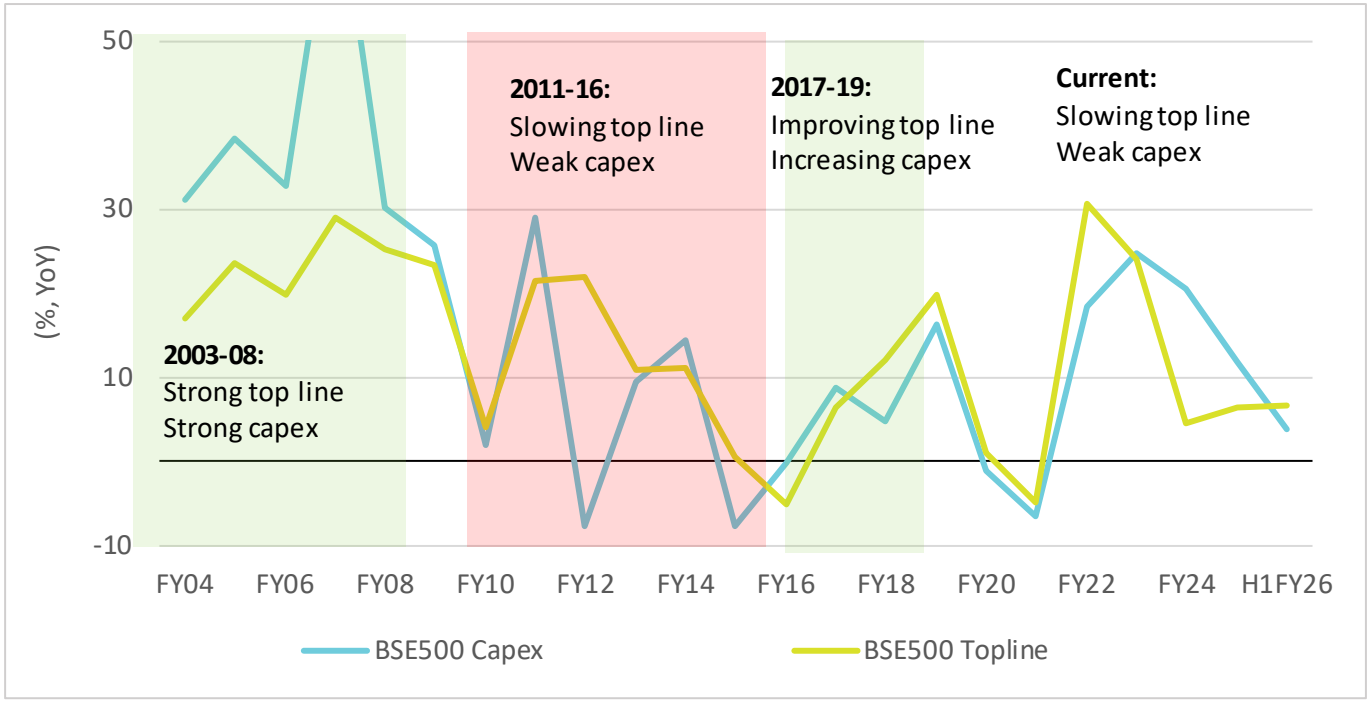
Weak demand – key reason underlying slowing capex

Capex can moderate owing to weak top line –



Source: Capitaline, Nuvama Research

- The moderation in capex growth despite strong operating cash flows can be attributed to subdued demand. After all, if corporates invest amid weak demand and low utilisation, profitability would drop—will it be acceptable to investors? Particularly given high valuations.
- Hence, unless demand revives, corporates are unlikely to pursue capex. In fact, capex growth will likely undershoot top-line growth.

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Capex is now moderating across sectors, barring power

Barring power, capex growth weak across sectors

Sector	FY25 Capex (INR tn)	Share in FY25 Capex (%)	FY24 Capex Growth (%, YoY)	FY25 Capex Growth (%, YoY)	H1FY26 Capex Growth (%, YoY)
Commodities (Metals + Energy)	3.9	42	13	4	-7
Power/Infra/Cement	2.3	25	27	39	19
Consumer (including Auto)	1.3	15	42	11	9
Telecom	0.5	5	62	-5	-23
Exporter (Pharma, Chemicals)	0.4	5	-1	8	33
Others	0.7	8	10	8	25
BSE500	**9.1**	**100**	**21**	**12**	**4**

Source: Capitaline, Nuvama Research
Note: FY25 and FY26 estimaes are Bloomberg consensus

- Sharp moderation in capex growth is now across the board.
- In FY24, capex growth moderation was mainly in case of exporters, while in FY25 growth of Telecom and some consumer-facing segments slowed.
- In FY26, growth has moderated across the board with levels of growth also being quite weak. Only the power sector's capex growth is running strong. But it remains to be seen how long it can sustain given weak demand dynamics.

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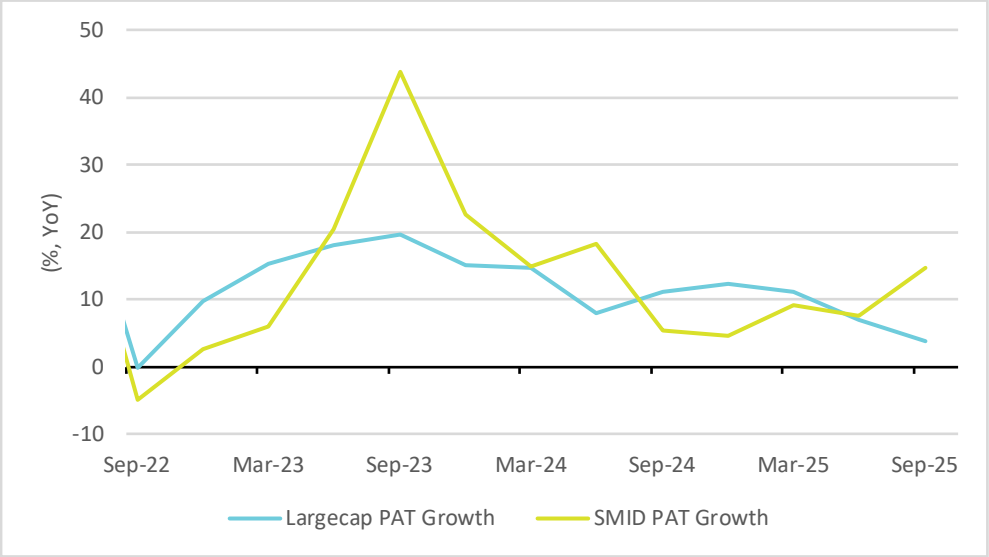
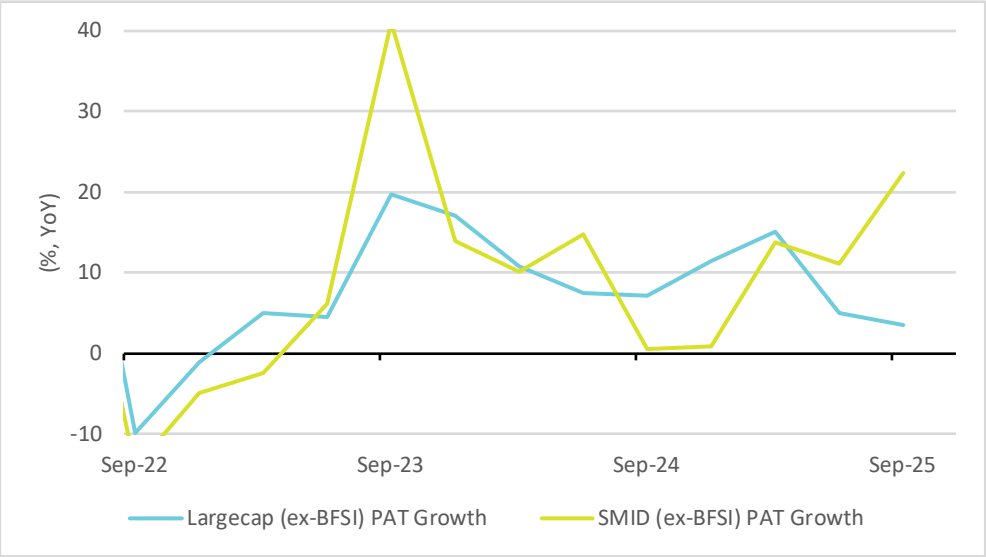
3. SMIDs: Profits improve, outpacing large caps'

SMIDs' profits accelerated in the quarter…



Source: Capitaline, Nuvama Research
Note: OMCs and fertilisers are excluded from the sample space
Note: Large caps refer to top 100 companies in BSE500 and SMID universe refers to 101 to 500 companies in BSE500

…even excluding BFSI



Source: Company, Nuvama Research;
Note: OMCs and fertilisers are excluded from the sample space
Note: Large caps refer to top 100 companies in BSE500 and SMID universe refers to 101 to 500 companies in BSE500

- SMID's profits accelerated in Q2FY26, after being weak in FY25. The key reason for acceleration is the unusually large fall in their profit growth in the base period.
- The acceleration in SMID profits is even higher, if one excludes BFSI, and in sharp contrast to the trends seen in large caps.

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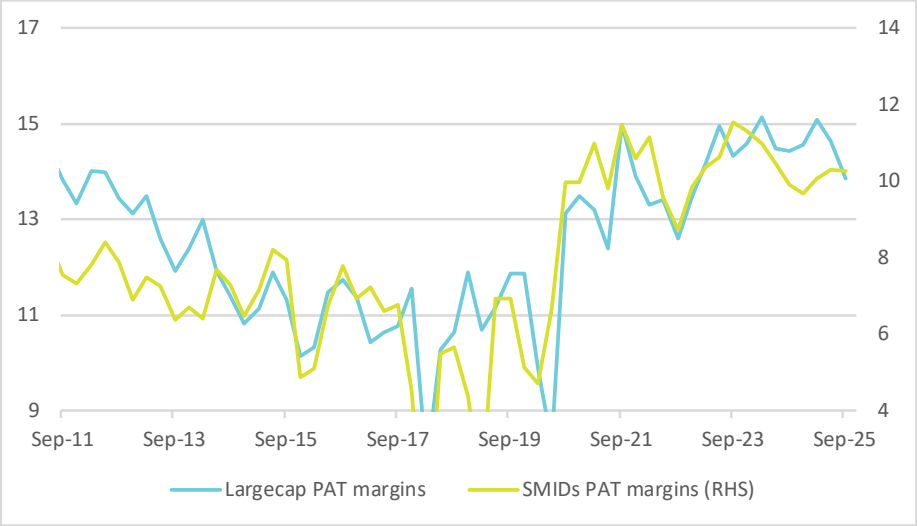
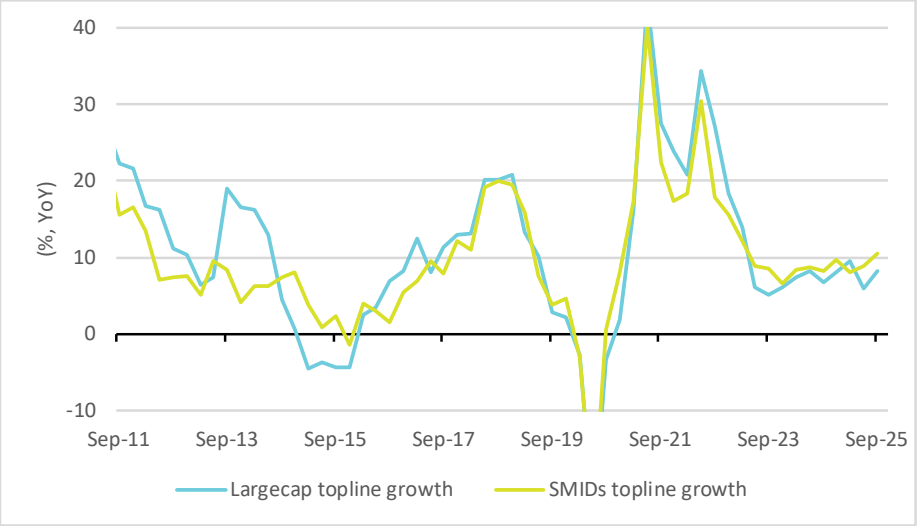
SMIDs' profit margins improve off a low base

SMID's margins relative to their history much higher than large caps…



Source: Capitaline, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space
Large caps refer to top 100 companies in BSE500 and SMID universe refers to 101 to 500 companies in BSE500

…despite similar trends in top line



Source: Capitaline, Nuvama Research
Note: OMCs and fertilizers are excluded from BSE500 sample space
Large caps refer to top 100 companies in BSE500 and SMID universe refers to 101 to 500 companies in BSE500

- As regards margins, SMIDs' profit margin level is lower than large-caps. Furthermore, their margins are a lot more cyclical—perhaps rightly so, as they are more geared towards growth than large-cap peers.
- In FY25, domestic slowdown hurt their margins, However, the trend reversed in H1FY26 and their profit margins are now stabilising at low levels. However, large caps' margins are facing a bigger headwind.
- Top-line growth remains stable at subdued levels.

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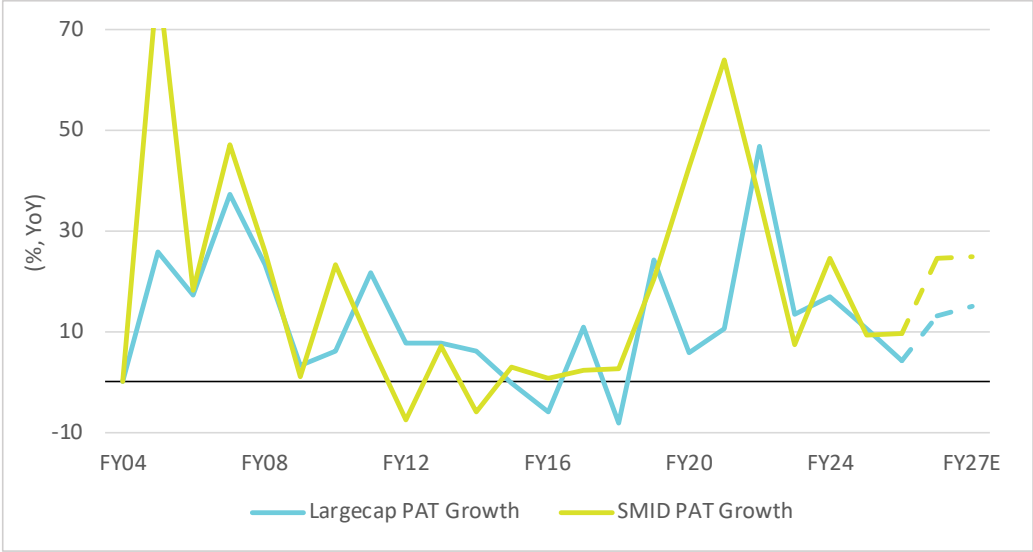
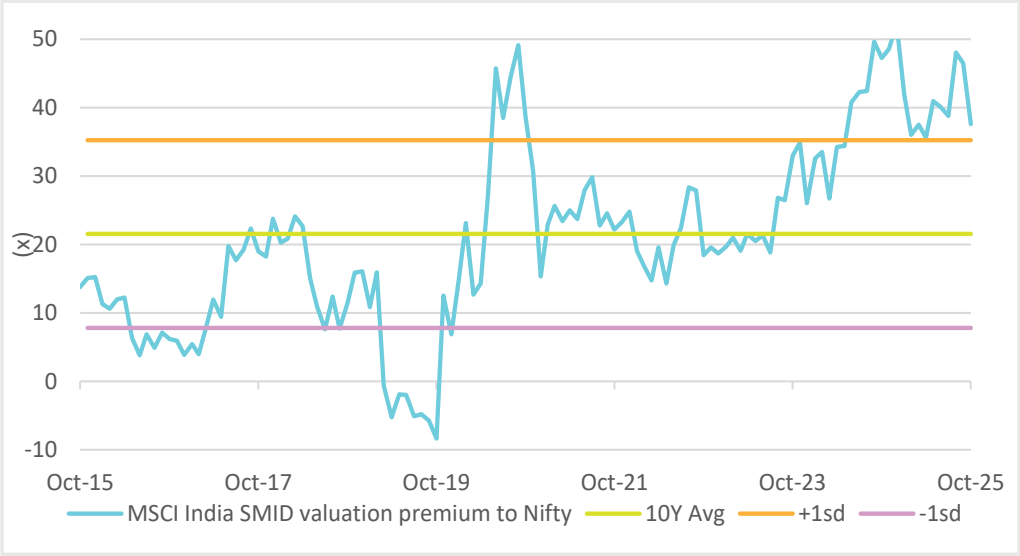
SMIDs' profit outlook: Consensus forecasting outperformance

Consensus forecasting SMIDs' profit shall outgrow large caps' –



Source: Bloomberg, Nuvama Research
Note: OMCs and fertilisers are excluded from BSE500 sample space
Large caps refer to top 100 companies in BSE500 and SMID universe refers to 101 to 500 companies in BSE500.
Estimates are Bloomberg consensus

SMID valuation premium to Nifty is still high



Source: Bloomberg, Nuvama Research

- SMID profits have reconciled with large-caps' in FY25 and have marginally outpaced them in H1FY26.
- For H2FY26/FY27, consensus is forecasting a significant bounce in SMIDs' profitability vis-a-vis large caps'. We think they could disappoint as high-frequency data pertaining to some industrial segments—power, steel consumption, etc—seems to have meaningfully moderated in recent months.
- Thus, if SMIDs' profit acceleration doesn't sustain, would their valuation premiums sustain?

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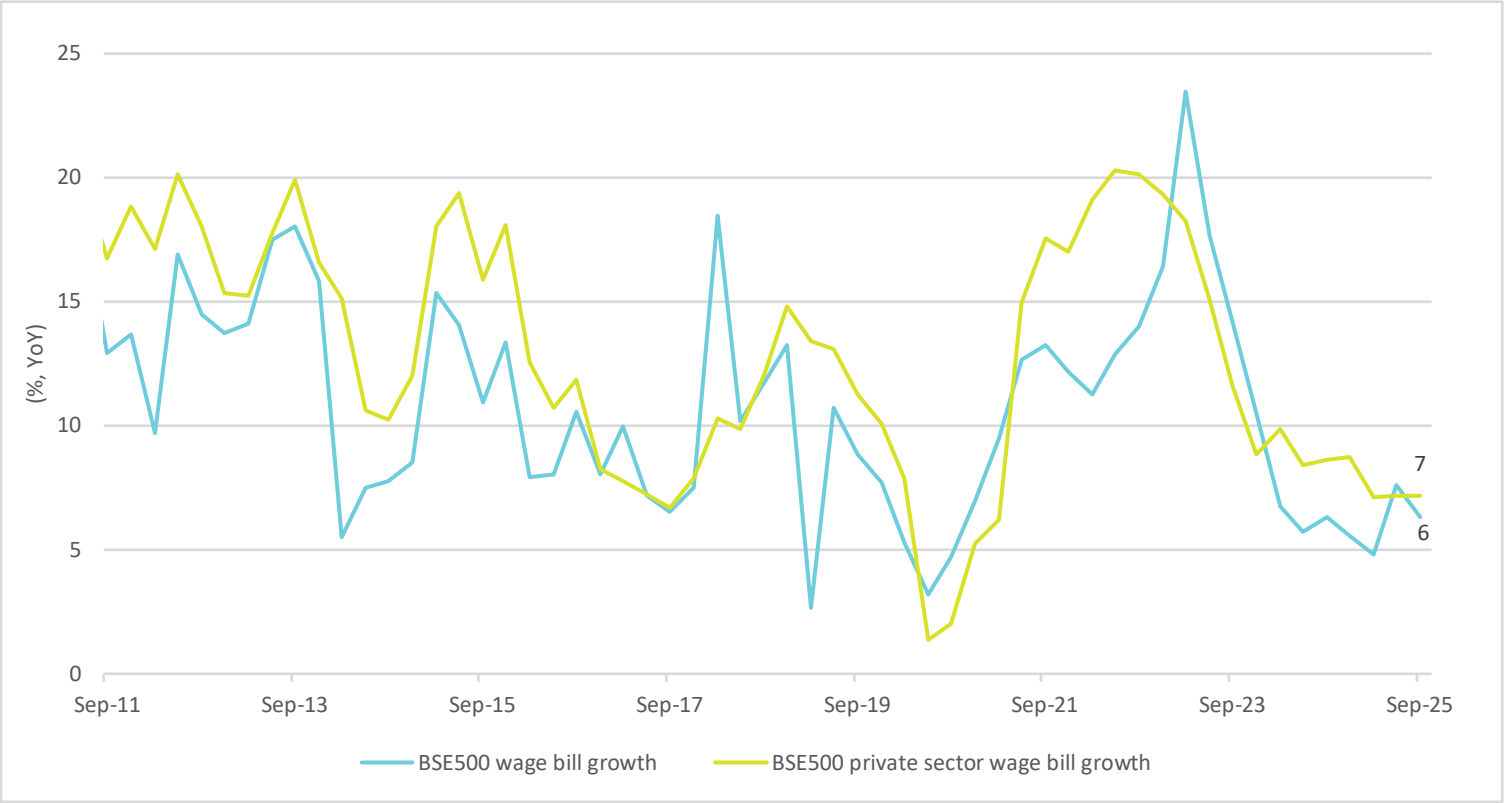
4. Wage bill growth: Continues to be weak…

BSE500 wage bill growth remains subdued



Source: Capitaline, Nuvama Research

- The wage bill growth continued to be weak in Q2FY26. Overall BSE500 wage bill growth was about 6% (similar to FY25 levels).
- Private sector wage bill growth too has moderated to 7% YoY—which is also a decadal-low (ex-covid).
- Income tax cuts would help in boosting household disposable income even with similar wage bill growth. But more is perhaps needed to revive consumption sustainably.

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…with softness across the board

Wage bill growth breakdown by sector

Sector	FY25 wage bill size (INR bn)	Share of Q1FY26 wage bill (%)	Wage bill growth (%, YoY)		
			Q2FY25	Q1FY26	Q2FY26
IT	**3117**	**31**	**4**	**6**	**7**
BFSI	**3190**	**32**	**8**	**11**	**6**
PSU Banks	1,827	18	2	10	3
Private banks	727	7	16	8	6
NBFC	463	5	22	18	13
Commodities	**910**	**9**	**2**	**4**	**8**
Metals & Mining	360	4	0	1	4
Energy	361	4	11	2	10
OMCs	189	2	-8	12	11
Domestic consumption	**1,437**	**14**	**10**	**6**	**6**
Domestic Auto	403	4	10	12	14
FMCG	166	2	8	3	-3
Consumer services	143	1	16	15	11
Durables	110	1	19	12	7
Telecom	57	1	-1	-3	0
Internet	117	1	-11	-3	2
Domestic investment	**817**	**8**	**9**	**7**	**6**
Industrials / Infra	509	5	12	7	6
Power	169	2	4	7	4
Cement	93	1	5	9	5
Real estate	24	0	30	13	22
Exporters	**498**	**5**	**8**	**9**	**8**
Pharmaceuticals	347	3	10	9	9
Export Auto	61	1	5	2	5
Chemicals	90	1	5	12	9
BSE 500 wage bill growth	**9,969**	**100**	**7**	**8**	**6**

- BSE500 wage bill growth has been weak for sometime now. In FY25, the weakness in wage bill growth was led by BFSI while IT remained weak.
- In FY26, the weakness is emanating from Consumption and the Industrial sectors while IT's and BFSI's wage bill growth continues to be weak.

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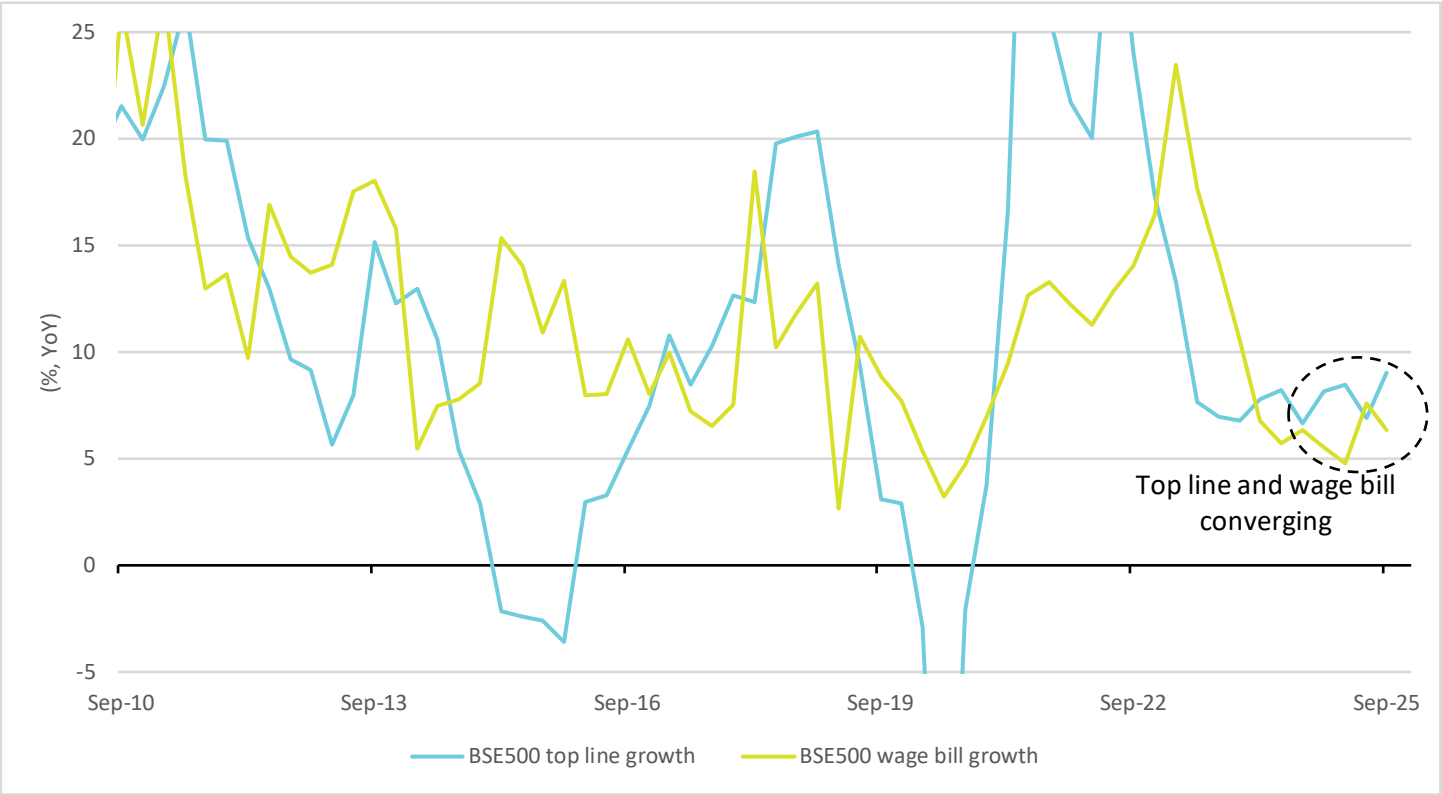
Source: Capitaline, Nuvama Research

Wage bill growth now undershooting weak top line

BSE500 wage bill growth similar to top-line growth



Source: Capitaline, Nuvama Research

- In FY24, wage bill growth outpaced top-line growth. This was mainly because falling input prices lifted India Inc's margins, boosting their profitability and, hence, there was no pressing need for corporates to lower employee costs.
- Given those tailwinds are behind, weak top-line growth is resulting in corporates resorting to cost-cutting. This could further weigh on the outlook going ahead.

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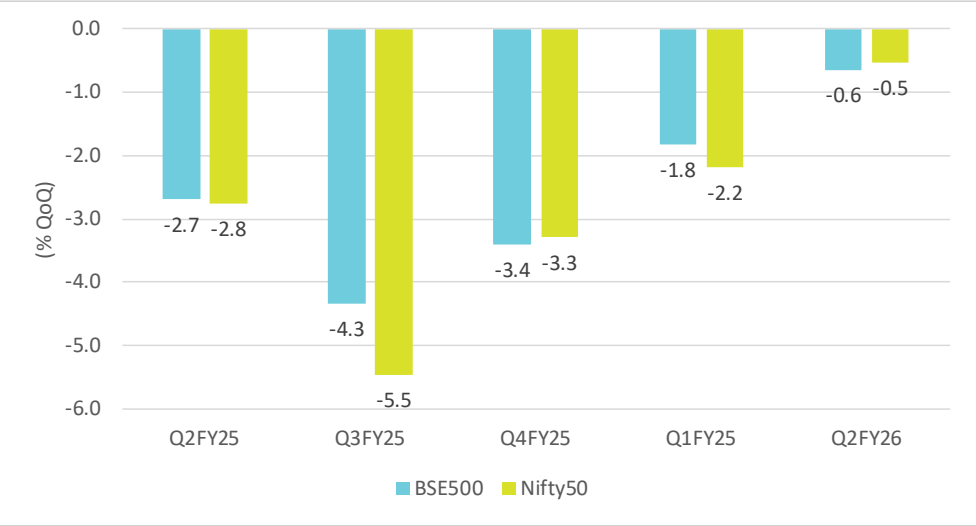
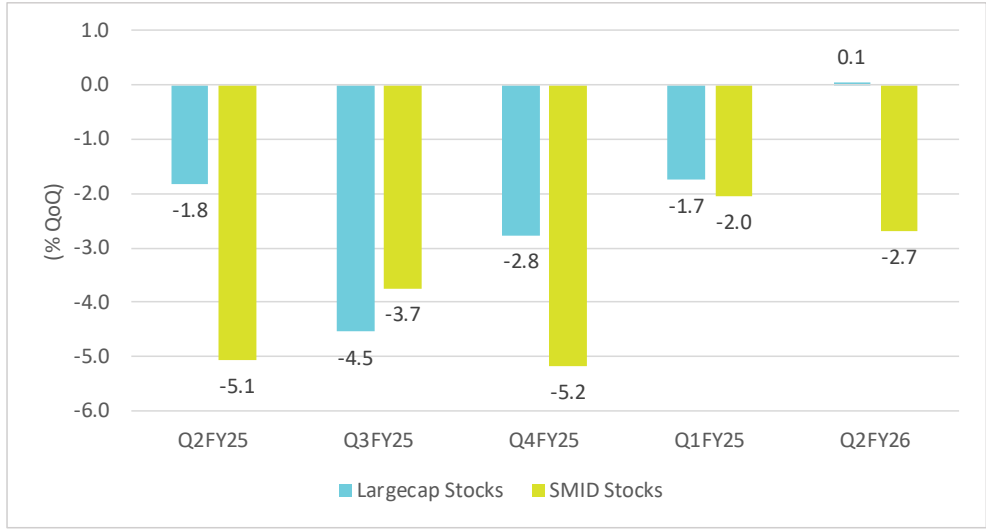
5. Earnings estimates: Downgrades' pace reduces -

BSE500 FY26E earnings pace of downgrades reduces…



Source: Bloomberg, Nuvama Research
Note: Estimates are Bloomberg consensus

…however SMIDs continue to see large downgrades



Source: Bloomberg, Nuvama Research
Note: Large caps refer to top 100 companies in BSE500 and SMID universe refers to 101 to 500 companies in BSE500.
Estimates are Bloomberg consensus

- As regards earnings estimates, FY26 numbers have been largely maintained. For SMIDs' though, estimates were cut sharply.
- The lowering of earnings downgrades pace was mainly led by PSU banks, while the consumer facing sectors witnessed earnings cuts.

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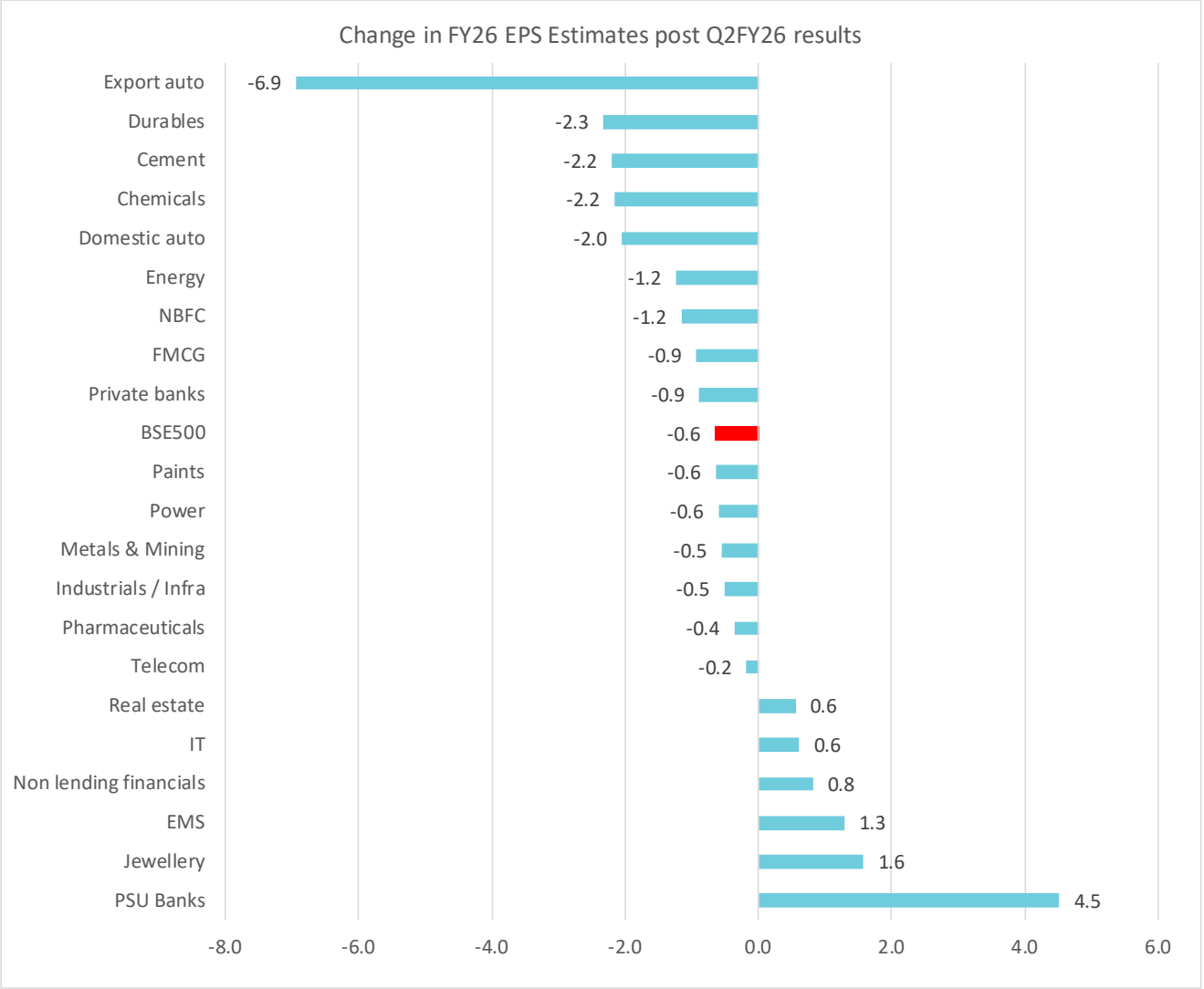
Upgrades and downgrades by sector

Changes in FY26 EPS forecasts across sectors -



Source: Bloomberg, Nuvama Research; Note: OMCs and Fertiliser are excluded from BSE500

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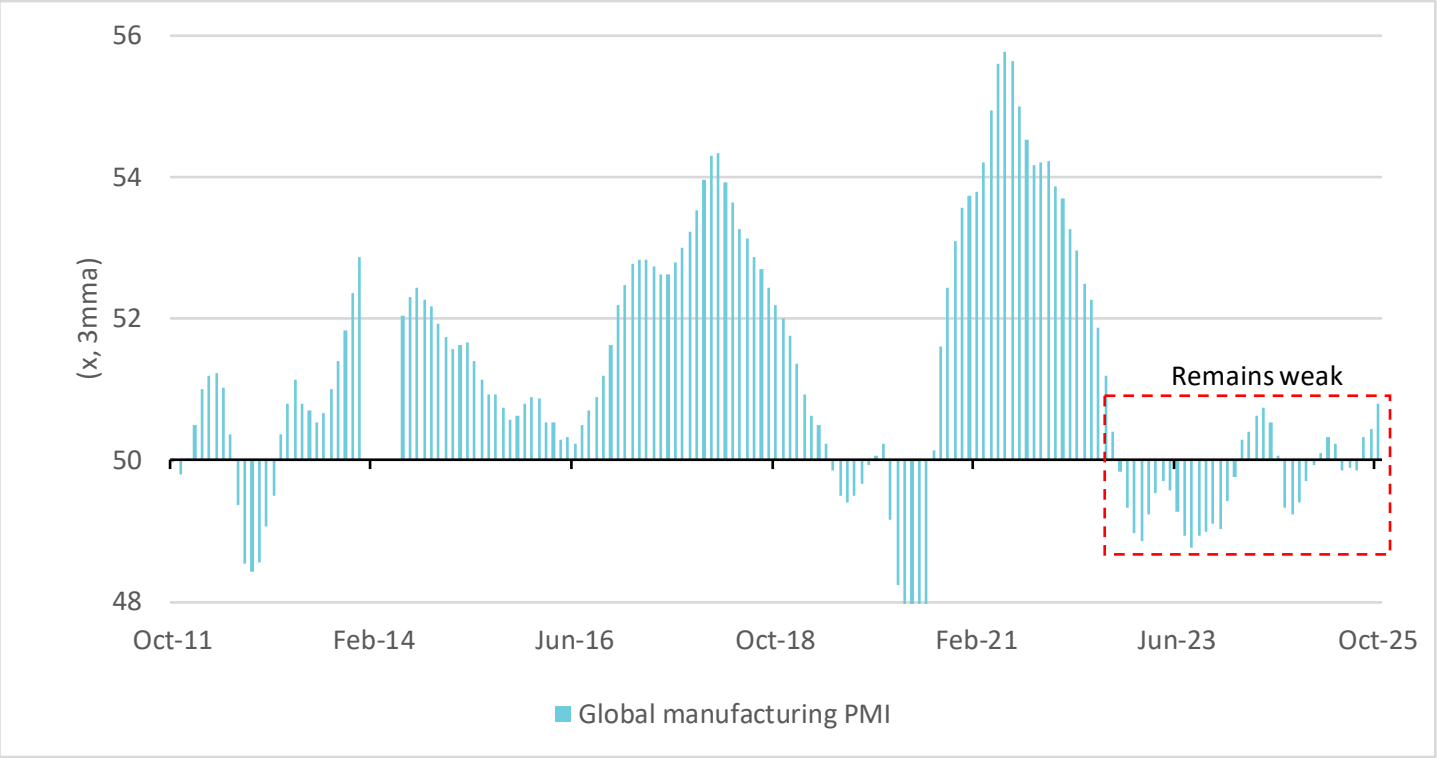
Demand outlook: Export recovery still uncertain, particularly as tariffs kick in

Global growth still weak



Source: Bloomberg, Nuvama Research;

- Essentially, for demand outlook, three variables are critical: global outlook (hurting exporters and commodities), domestic consumption and capex.
- First, with regards to global, world trade is already weak. Fresh weakness is likely from higher US tariffs, which could narrow the US current account deficit—a global deflationary dynamic. Early signs are visible in October where exports across the world have slowed

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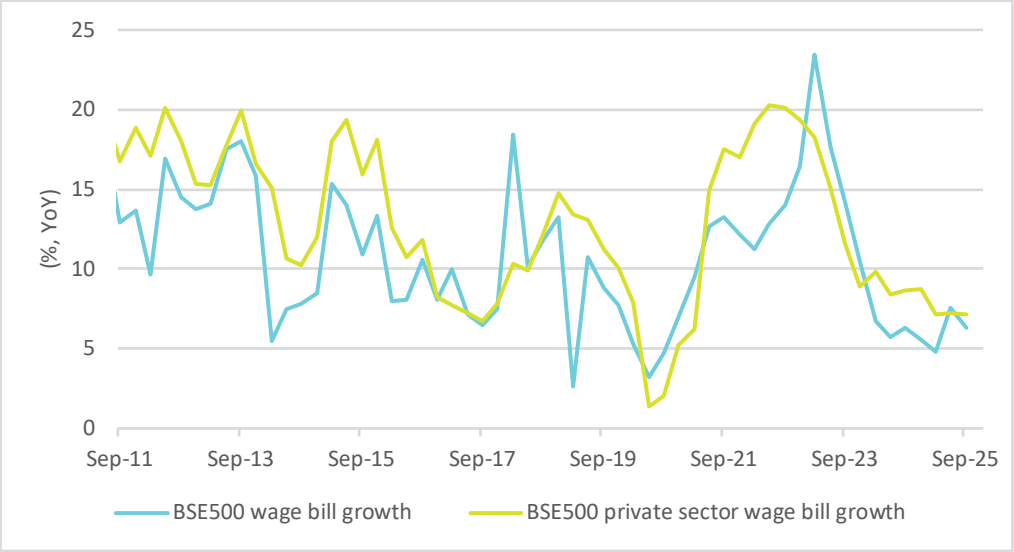
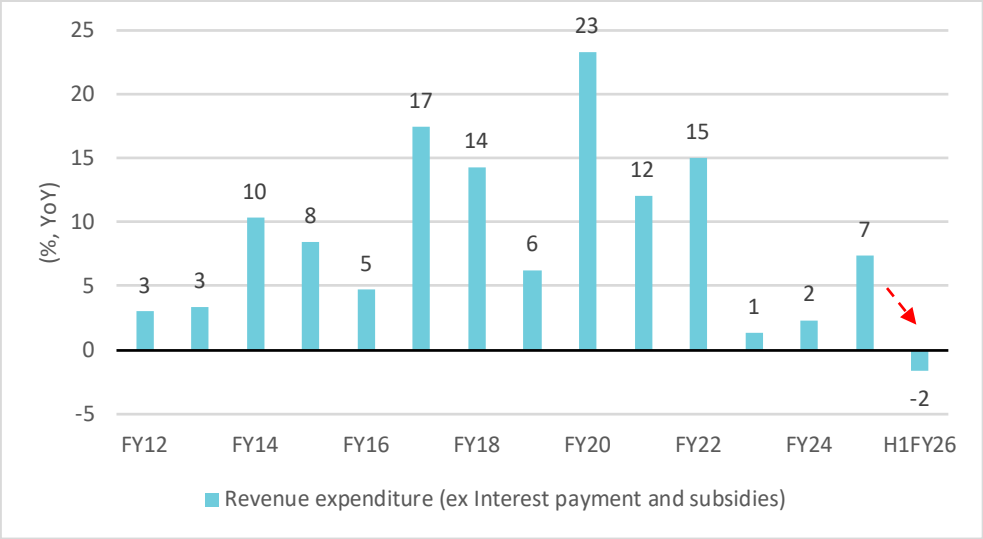
Consumption outlook: Tax cuts to help, but headwinds still persist

BSE500 wage bill growth remains soft…



Source: Bloomberg, Nuvama Research

Central governments' revenue expenditure (ex interest and subsidies)



Source: CMIE, Nuvama Research
Note: Revenue expenditure refers to central government expenditure.

- As regards consumption, it is a function of wages/leverage and transfers. All the three metrics seem to be stabilising at weak levels.
- While rural wages have been weak for some time now, BSE500 wage bill growth too has slowed over the last year.
- As regards government policy, while income/GST tax cuts could help, large headwinds persist owing to likely cuts in government spending. Thus, the consumption revival that consensus is hoping for could still be some time away.

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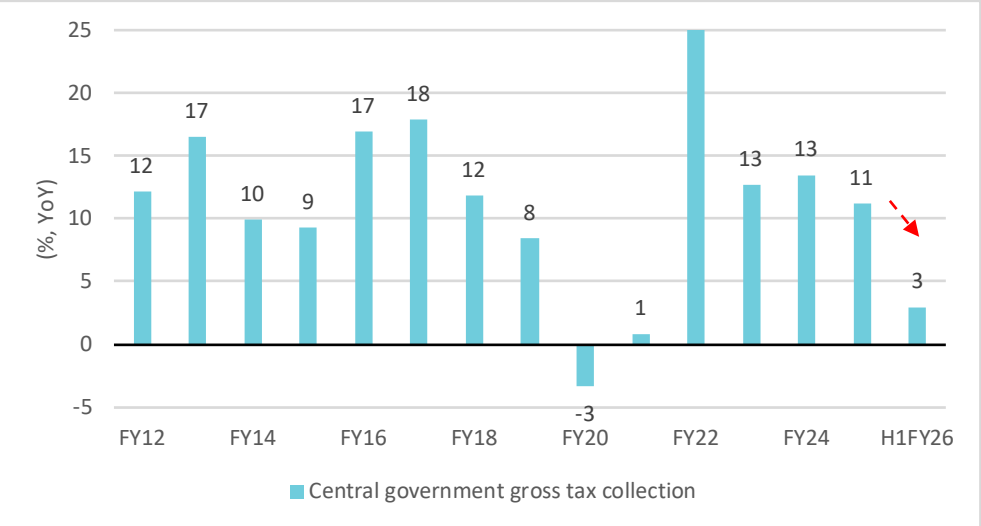
Capex outlook: Weak top line to deter private capex; government capex soft

BSE500 capex growth now moderating and reconciling with top line…

Source: Capitaline, Nuvama Research

Government tax collections too remain weak, posing risks to capex outlook



Source: CMIE, Nuvama Research

- Finally, the capex of BSE500 companies has moderated and could slow further given the weak top-line growth.
- Furthermore, general government capex weakened substantially in FY25 and is likely to weaken further going ahead in FY26 given the weak tax revenues and the pressures of fiscal consolidation and GST rate cuts.
- Hence, on the capex side as well, the outlook remains bleak.

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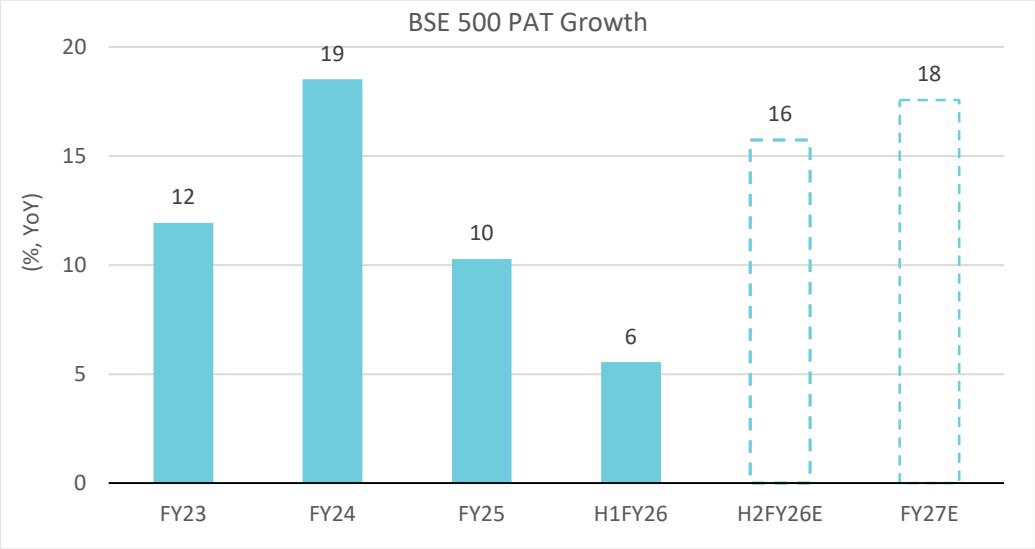
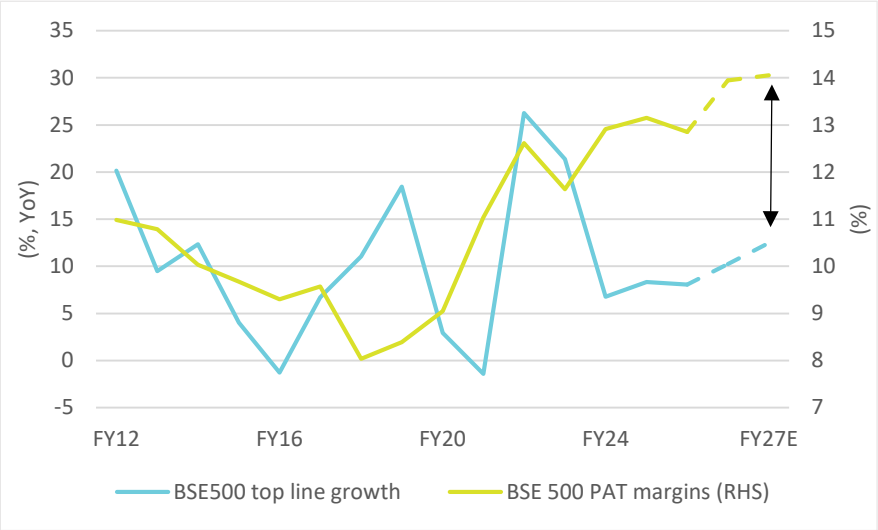
Demand risks not yet built into consensus expectations

Consensus continues to forecast strong recovery going ahead –



Source: Bloomberg, Nuvama Research
Note: OMCs and fertilisers are excluded from the BSE500 sample space

Consensus forecasting further increase in profit margins in FY27E



Source: Bloomberg, Nuvama Research
Note: OMCs and fertilisers are excluded from the BSE500 sample space

- Hence, in a nutshell, demand dynamics for BSE500 companies stay weak, which suggests a top-line recovery is likely to be gradual.
- Furthermore, margin tailwinds are exhausted. This suggests an earnings recovery is unlikely anytime soon.
- All in all, this could disappoint consensus, which is building in a top-line recovery and improvement in margins from elevated levels.

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Sectorally, strong recovery built into H2FY26E/FY27E in cyclicals

Sector	FY 25 PAT (in INR Tn)	Share in FY25 PAT (%)	FY25 Growth (%, YoY)	H1FY26 Growth (%, YoY)	H2FY26 Growth (%, YoY)	FY27 Growth (%, YoY)
Domestic consumption	**2.3**	**17**	**13**	**8**	**25**	**25**
Domestic Auto	0.8	6	8	12	20	17
FMCG	0.5	4	2	2	14	14
Telecom	0.3	2	101	30	24	37
Durables	0.1	1	11	8	23	23
Consumer services	0.2	1	5	-10	31	28
Apparel / retail	0.1	1	9	-14	21	37
Jewellery	0.0	0	-1	58	37	23
Paints	0.1	0	-20	-0	17	14
Internet	0.0	0	115	-1,032	194	195
Domestic investment	**1.7**	**13**	**11**	**17**	**16**	**22**
Industrials / Infra	0.8	6	14	8	23	23
Power	0.6	5	11	8	5	15
Cement	0.2	1	-12	118	-1	30
Real estate	0.1	1	32	34	53	30
EMS	0.0	0	88	31	75	42
Exporters	**2.3**	**17**	**11**	**3**	**9**	**13**
IT	1.3	10	9	8	7	10
Export Auto	0.3	2	-5	-75	16	28
Pharmaceuticals	0.6	4	19	15	2	11
Chemicals	0.1	1	25	36	29	29
Commodities	**2.4**	**19**	**-0**	**4**	**24**	**15**
Energy	1.3	10	-5	0	15	12
Metals & Mining	1.1	8	7	10	33	18
BFSI	**4.5**	**34**	**11**	**4**	**12**	**16**
PSU banks	1.7	13	22	4	2	11
Private banks	1.6	12	3	0	10	18
NBFC	1.1	8	9	11	27	21
Non lending financials	0.1	1	10	-4	35	18
BSE500	**13.2**	**100**	**9**	**6**	**16**	**18**
BSE500 (ex BFSI)	**8.7**	**66**	**8**	**7**	**19**	**18**
BSE500 (ex BFSI and commodities)	**6.2**	**47**	**13**	**8**	**17**	**20**

Source: Bloomberg, Nuvama Research
Note: OMCs and fertilisers are excluded from the BSE500 sample space

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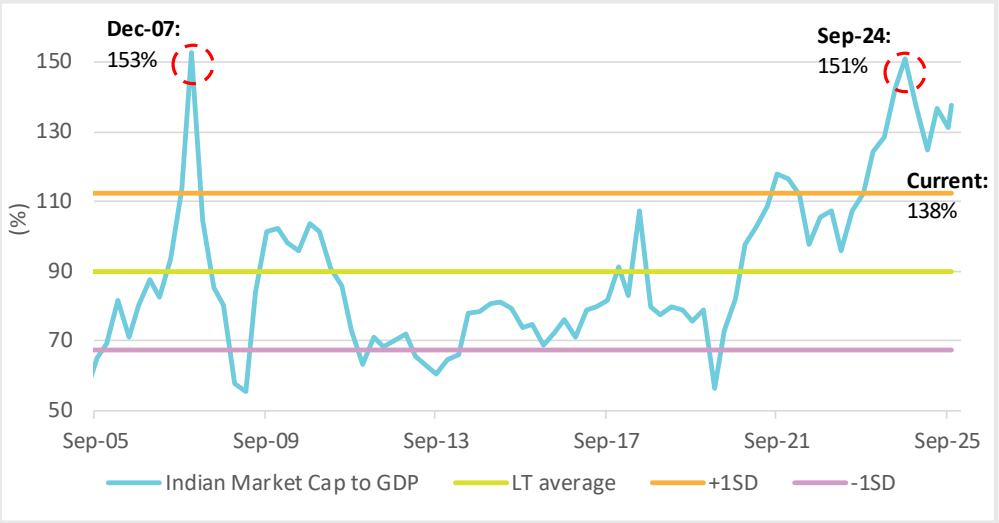
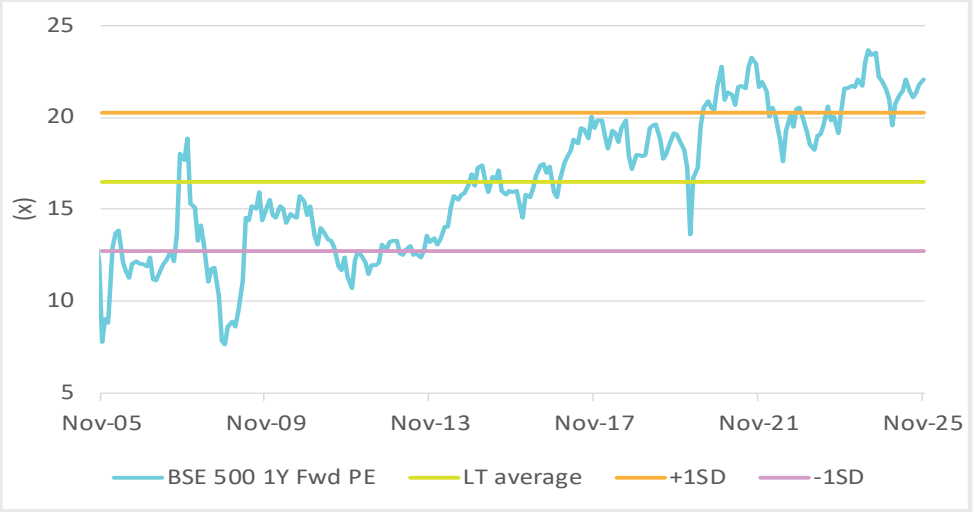
Market valuations remain elevated

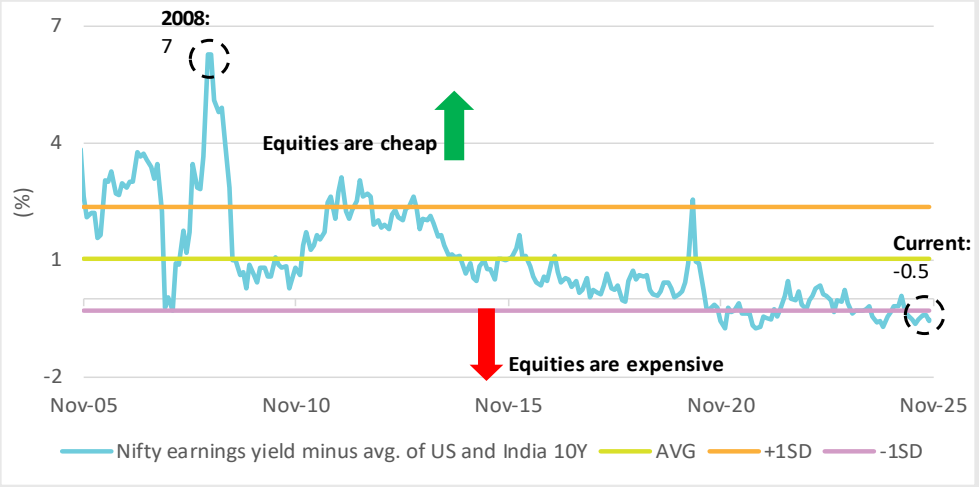
Market cap to GDP still elevated…



…as is the BSE500 PE



Valuations are quite expensive relative to rates as well



- While equity markets have been flat for a year, valuations haven't yet turned particularly attractive.
- They continue to remain expensive on absolute basis and also relative to interest rates.
- However, relative to global equities valuations have cheapened.

Source: Bloomberg, Nuvama Research

Markets more expensive vis-à-vis Sep-24 relative to growth

	Sep-24	Current (Nov 2025)	10Y average
Absolute valuations	**Very High**	**High**	
Nifty 1Y fwd PE (x)	21	20	18
Market cap to GDP (%)	150%	135%	100%
Breadth of valuations	**Very High**	**Very High**	
Median trailing PE	42	38	26
Midcap valuation premium	50%	40%	22%
India equity valuations relative to global equities	**Very High**	**Low**	
Relative to EM (1 yr fwd PE)	70%	48%	52%
Relative to US (1 yr fwd PE)	-1%	-9%	-2%
India equity valuations relative to rates	**High**	**High**	
Relative to India 10Y (Earnings yield minus 10Y yield)	-2.1%	-1.6%	-1.4%
Relative to average of India and US10Y (Earnings yield minus bond yield)	-0.6%	-0.4%	0.7%
Growth	**Strong**	**Weak**	
India bank credit growth (3mma, % YoY)	15%	11%	10%
BSE500 Topline growth (last 12M, % YoY)	8%	8%	10%
BSE500 PAT growth (last 12M, % YoY)	17%	8%	13%
Nifty Earnings differential to EM (YoY, % pts)	28%	4%	8%

Source: Bloomberg, Nuvama Research

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Stock numbers that we revised

Top ten stocks with FY26E PAT upgrades

Top 10 stocks with FY26E PAT upgrades		
Stock name	**Sector**	**Change in FY26E PAT (%)**
Delhivery	Logistics	157
Prestige Estates	Real estate	104
ACC	Cement	42
Greenpanel Industries	Home Décor	40
GE Vernova T&D India	Engineering and capital go	33
Bharat Petroleum Corporation	Oil & Gas, Petrochemicals	27
Muthoot Finance	BFSI	23
Route Mobile	Telecom	20
Syrma SGS	Consumer Durables, Electr	15
Indian Oil Corporation	Oil & Gas, Petrochemicals	15

Top ten stocks with FY26E PAT downgrades

Top 10 stocks with FY26E PAT downgrades		
Stock name	**Sector**	**Change in FY26E PAT (%)**
IndusInd Bank	BFSI	-112
Zomato	Internet	-58
Orchid Pharma	Pharma	-49
Sterlite Technologies	Telecom	-45
Bandhan Bank	BFSI	-45
SignatureGlobal India	Real estate	-43
Bata	Retail	-42
Prince Pipes	Home Décor	-38
Deepak Nitrite	Speciality Chemicals	-33
Apollo Pipes	Home Décor	-32

Source: Nuvama Research

Stock recommendations that we revised

Stock where we upgraded recommendations

Rating upgrades			
Stock name	**Sector**	**Pre-result rating**	**Post-result rating**
AU Small Finance Bank	BFSI	Reduce	Hold
Thermax	Engineering and capital goods	Reduce	Hold
Aarti Industries	Speciality Chemicals	Reduce	Hold
Ceat	Auto / auto components	Hold	Buy
Bajaj Finserv	BFSI	Hold	Buy
UTI AMC	BFSI	Hold	Buy
G R Infraprojects	Infrastructure	Hold	Buy
AIA Engineering	Engineering and capital goods	Hold	Buy
Biocon	Pharma	Hold	Buy
CESC	Power & Ports	Hold	Buy
RHIM Magnesita India	Refactory	Hold	Buy

Stocks where we downgraded recommendations

Rating downgrades			
Stock name	**Sector**	**Pre-result rating**	**Post-result rating**
Bajaj Auto	Auto / auto components	Buy	Hold
Eicher Motors	Auto / auto components	Buy	Hold
SBI Cards & Payment Services	BFSI	Buy	Hold
Transformers and Rectifiers India	Engineering and capital goods	Buy	Hold
Hindalco Industries	Metals and mining	Buy	Hold
NMDC	Metals and mining	Buy	Hold
Tata Steel	Metals and mining	Buy	Hold
Bandhan Bank	BFSI	Hold	Reduce

Source: Nuvama Research

Model Portfolio

Stocks	Mkt Cap (USD bn)	Price (INR)	Portfolio wt (%)	Nifty wt (%)	Rel wt (bps)	P/E (x) FY26E	P/E (x) FY27E	P/B (x) FY26E	P/B (x) FY27E	RoE (%) FY26E	RoE (%) FY27E	Div Yld (%) FY26E
Telecom and Internet			**9.6**	**6.6**	**300**							
Bharti Airtel	143	2,116	6.3	4.8	150	39	27	10	8	27	33	0.9
Eternal	33	305	3.3	1.8	150	NA	118	9.2	8.5	1	8	0.0
Consumer			**14.3**	**12.3**	**200**							
Nestle	28	1,269	1.8	0.8	100	73	59	51.1	43.6	76	79	1.1
Pidilite	17	1,478	1.0	0.0	100	59	51	13.5	11.8	23	24	0.8
Britannia	16	5,815	1.0	0.0	100	54	46	27.7	23.5	55	55	1.3
Interglobe aviation	26	5,865	2.1	1.1	100	32	19	14.0	8.1	55	56	0.2
Havells India	10	1,474	1.0	0.0	100	61	47	10.1	9.1	17	20	0.0
Titan Company	38	3,842	2.3	1.3	100	70	54	22.7	17.6	37	37	0.0
Hindustan Unilever	64	2,422	1.8	1.8	0	52	45	11.3	11.1	22	25	1.6
Asian Paints	31	2,897	1.1	1.1	0	59	48	13.0	11.6	23	26	1.0
ITC	58	407	2.2	3.3	(110)	24	22	7.0	6.6	29	31	3.4
Information Technology			**12.1**	**10.1**	**200**							
Tata Consultancy Services	126	3,093	4.7	2.7	200	22	20	11.2	10.5	52	54	3.8
Infosys Technologies	70	1,494	6.2	4.6	160	22	20	5.8	5.4	28	28	3.4
LTIMindtree	19	5,817	1.2	0.0	120	31	27	7.0	6.0	23	24	1.4
Cement			**4.1**	**2.1**	**200**							
Grasim	21	2,780	3.1	0.9	220	NA	NA	3.5	3.5	1	2	0.3
Shree cement	11	26,705	1.0	0.0	100	56	44	4.3	4.0	8	9	0.4
Chemicals			**1.0**	**0.0**	**100**							
UPL	7	770	1.0	0.0	100	19	13	1.7	1.6	9	13	1.3
Pharma			**3.4**	**2.9**	**50**							
Divi's laboratories	20	6,523	1.0	0.0	100	63	46	10.2	8.7	17	20	0.5
Torrent Pharma	15	3,814	1.0	0.0	100	52	41	13.6	10.7	29	29	0.5
Dr Reddy Labs	12	1,247	1.4	0.6	80	20	22	2.7	2.4	14	12	0.4
Energy			**10.0**	**10.3**	**(30)**							
Reliance Industries	232	1,518	10.0	8.7	130	24	23	2.3	2.1	10	11	0.4
Metals & mining			**2.1**	**3.1**	**(100)**							
Jindal Steel Ltd.	12	1,080	1.0	0.0	100	16	12	2.0	1.7	13	17	0.3
JSW Steel Ltd.	32	1,173	1.1	0.9	20	16	12	2.0	1.7	13	17	0.4
Autos			**5.8**	**6.8**	**(100)**							
TVS Motors	18	3,426	1.0	0.0	100	45	36	14.9	11.2	35	35	0.4
Maruti Suzuki India	56	15,739	2.2	1.7	50	29	24	4.7	4.2	17	19	1.2
Mahindra & Mahindra	52	3,708	2.6	2.8	(20)	31	27	6.4	5.5	22	22	1.0
Utilities			**0.0**	**2.4**	**(240)**							
BFSI			**33.8**	**36.7**	**(290)**							
Muthoot Finance	17	3,728	1.0	0.0	100	16	15	4.2	2.7	29	20	0.0
HDFC Life Insurance	19	770	1.7	0.7	100	75	62	9.4	8.4	13	14	0.0
SBI Life Insurance	23	1,997	1.8	0.8	100	74	60	10.4	9.0	15	16	0.0
ICICI Bank	111	1,379	10.0	8.3	170	19	17	2.9	2.6	16	16	0.9
Bajaj Finserv	37	2,064	2.0	1.0	100	186	161	33.4	28.4	19	19	0.0
Kotak Mahindra Bank	47	2,105	2.9	2.6	30	30	26	3.2	2.9	11	11	0.1
State Bank of India	101	973	4.4	3.4	100	12	11	1.8	1.6	15	15	1.8
HDFC Bank	172	990	10.0	12.8	(280)	20	18	2.8	2.5	14	15	1.0
Industrials			**3.8**	**6.8**	**(300)**							
Larsen & Toubro	62	4,008	3.8	4.0	(20)	26	22	4.9	4.3	20	20	1.2
Model Portfolio			**100.0**	**100.0**	**0**							
Nifty				**100.0**	**0**							

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FY26E: Earnings revisions by sector

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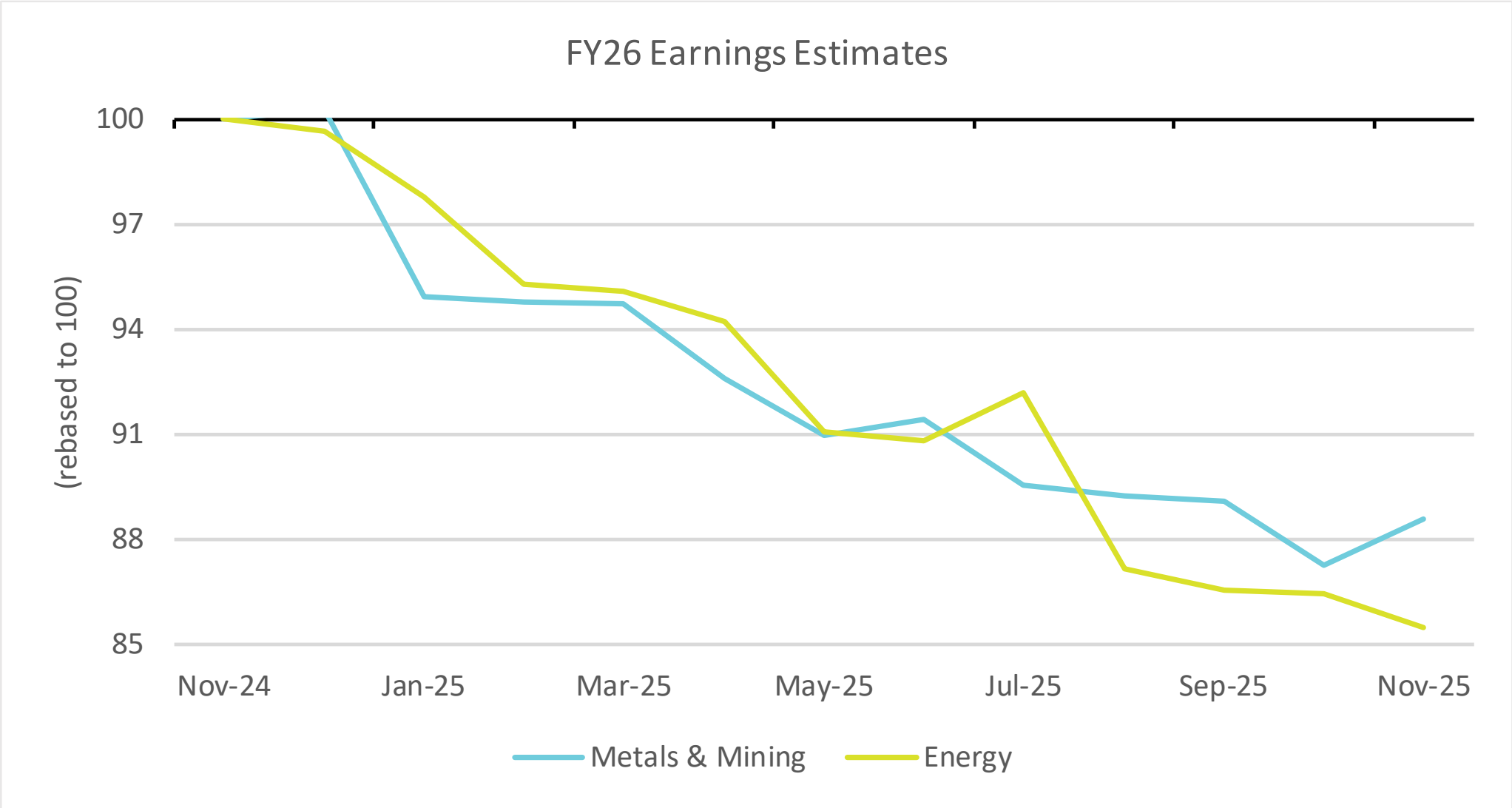
Resource companies: Energy earnings downgraded; Metals stable

Earnings cuts for Metals as well as Energy



Source: Bloomberg, Nuvama Research

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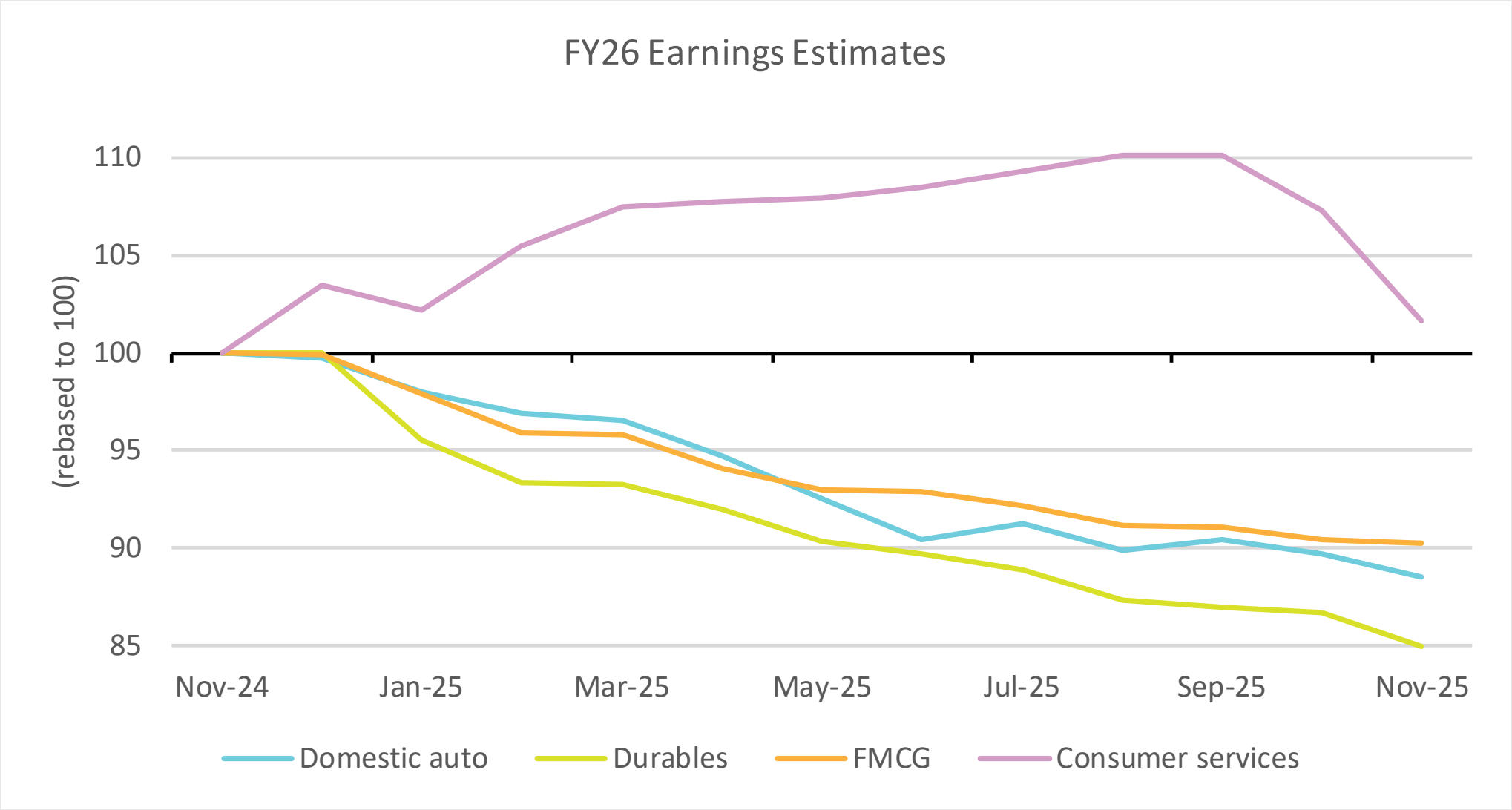
Domestic consumption: Broad-based cut in earnings estimates

Earnings of Consumer Services companies hold up, whereas the rest were downgraded



Source: Bloomberg, Nuvama Research

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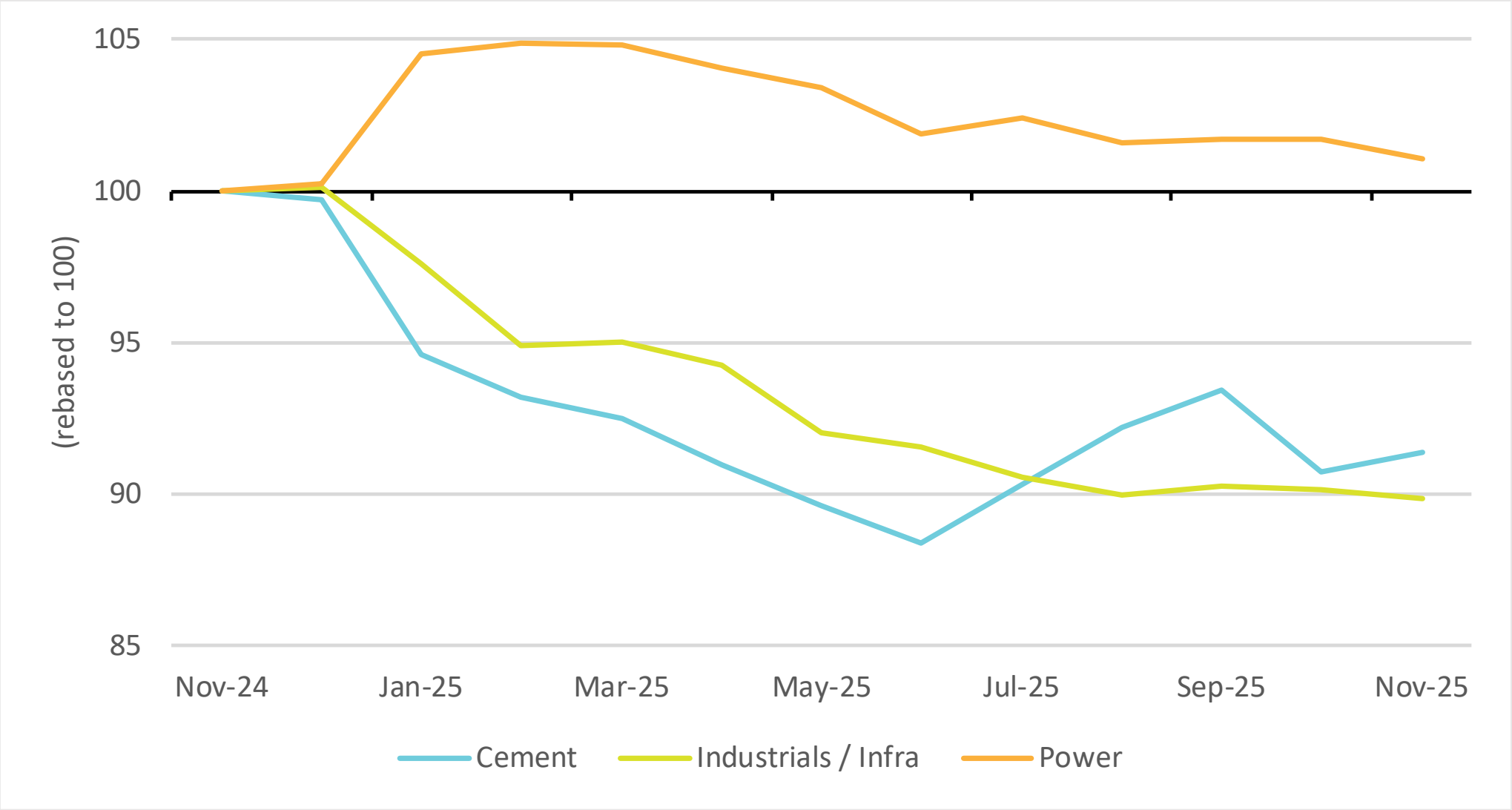
Investment: Cement earnings stabilising; Industrials' and Power's earnings cut

Industrials too now reporting cuts in earnings



Source: Bloomberg, Nuvama Research

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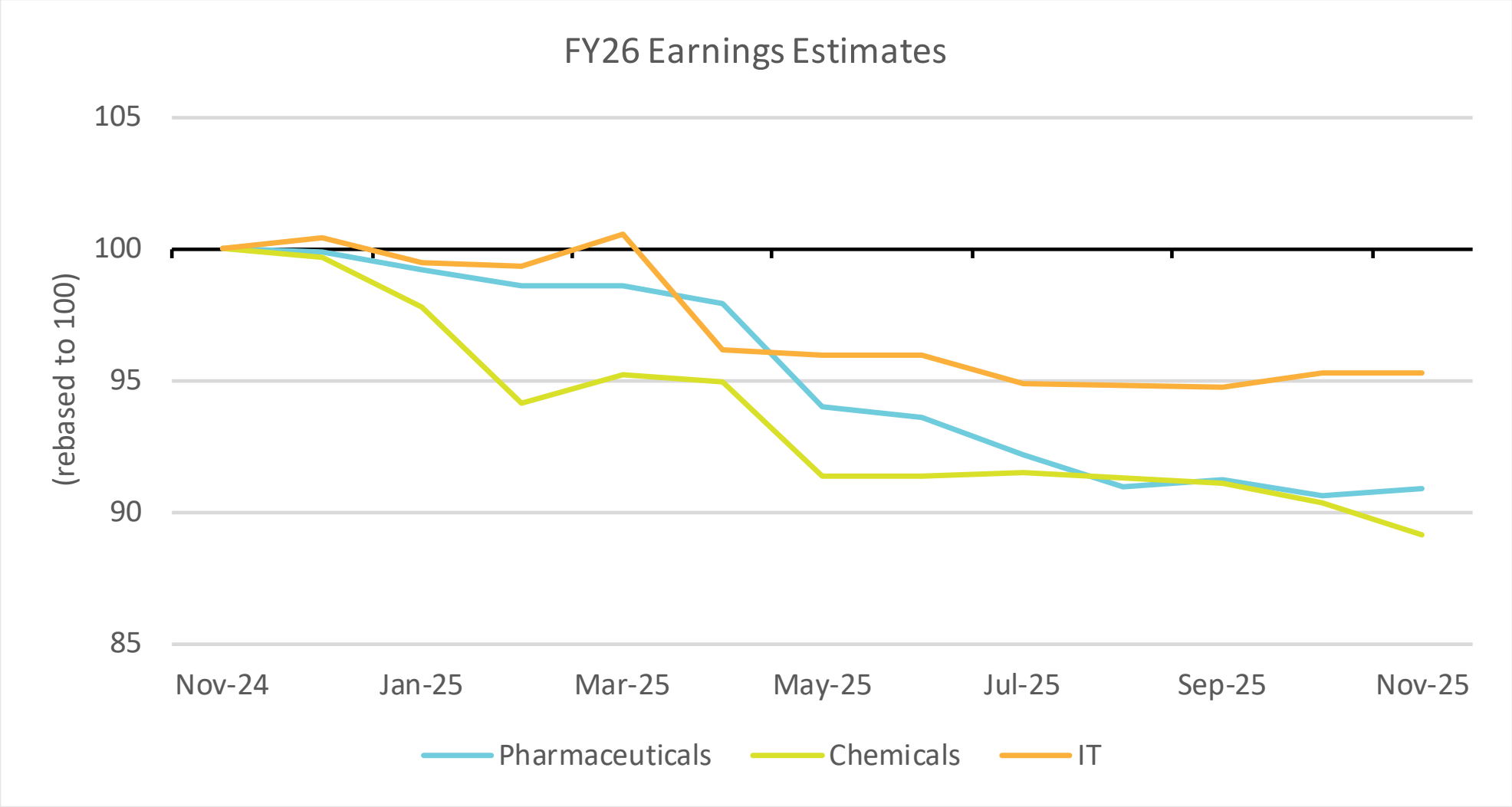
Exporters: Earnings now stabilising

Pharma's and Chemicals' earnings face revised down



Source: Bloomberg, Nuvama Research

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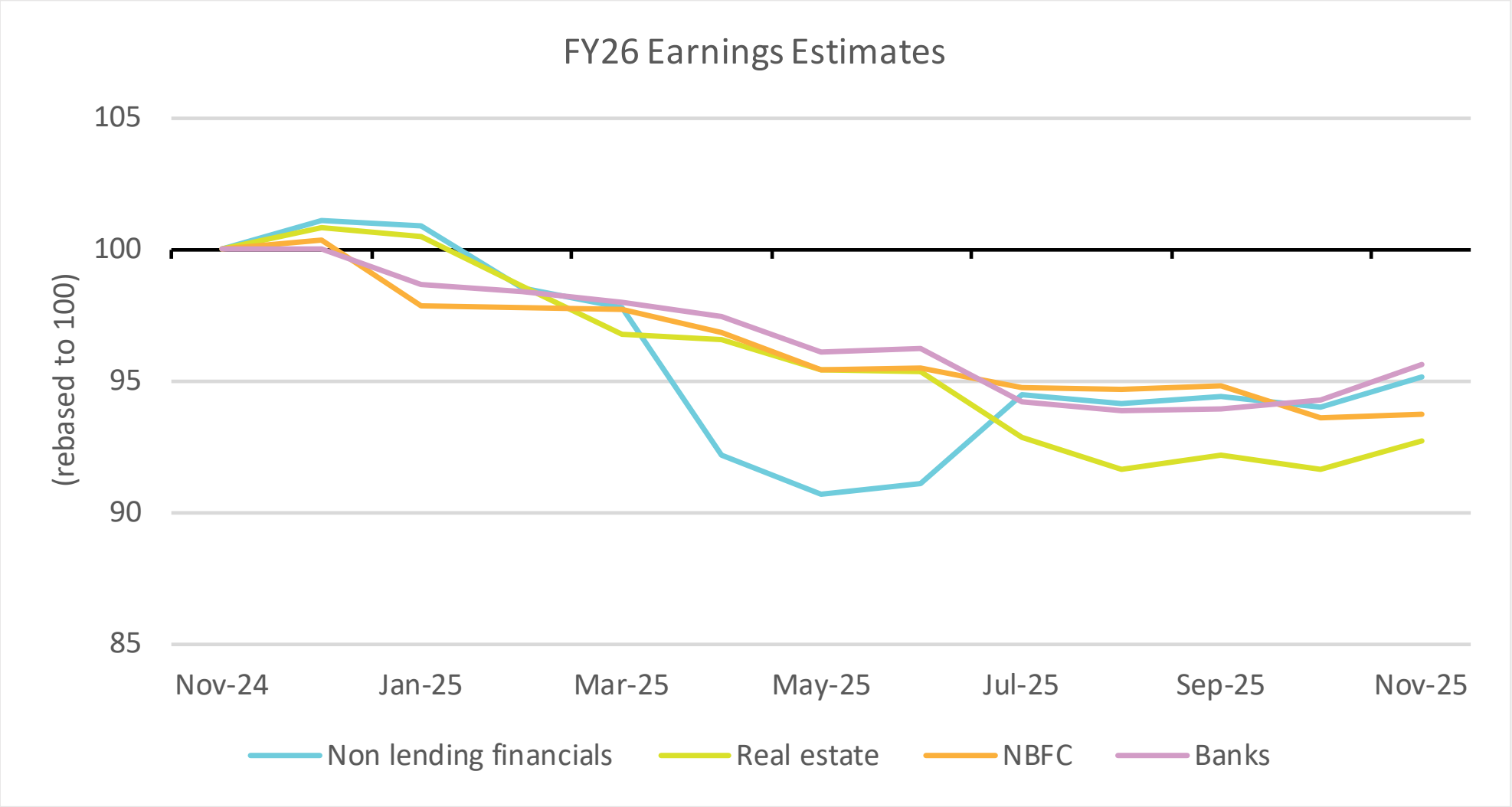
Financials: Mild upward revisions in earnings

Banks witness large earnings cuts



Source: Bloomberg, Nuvama Research

Sector Highlights

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Sector Highlights

Agri Inputs	
Positive highlights	**Negative highlights/concerns/risks**
Excessive rainfall in August and September has improved reservoir levels as well as soil moisture content, which bodes well for the upcoming rabi season. Global agrochemical companies performed better than domestic agrochemical companies; inventory in the Channel is seen to normalise.	Incessant rainfall in August and September led to major crop damage in Maharashtra, Punjab and Haryana. Crop protection volumes were lower in higher single digits in the industry, and sales returns during the quarter were prominent.
Top picks: UPL	**Stocks to avoid: Rallis India, Sharda crop chem**

Auto	
Positive highlights	**Negative highlights/concerns/risks**
Revenue growth YoY was supported by higher demand, better pricing and premiumisation. EBITDA growth YoY was led by operating leverage benefits. Management commentary for volume growth ahead is positive across 2W, PV and Tractor segments. Government policy measures such as GST rate cuts showing continued growth momentum.	Domestic CV and Global HCV sales outlook muted for FY26. Global PV outlook muted for FY26.
Top picks: TVS Motors, Hero MotoCorp, Maruti Suzuki, Motherson Wiring	**Stocks to avoid: Tata Motors, Ashok Leyland, Exide Industries**

Construction	
Positive highlights	**Negative highlights/concerns/risks**
Order inflows improved during the quarter while the pipeline too looks healthy.	Margins took a hit in Q2FY26.
Top picks: Ahluwalia	**Stocks to avoid: KNR**

Cement	
Positive highlights	**Negative highlights/concerns/risks**
Industry witnessed mid sigle digit volume growth on the back of improved govt. spending. Freight cost decreased squentially on account of lower lead distance time.	Renewed fears about competitive intensity post capacity announcements by Ultratech and Ambuja.
Top picks: JK Cements and Ambuja	**Stocks to avoid:**

Sector Highlights

Consumer Durables, Electricals and EMS	
Positive highlights	**Negative highlights/concerns/risks**
Positive commentary on improving demand scenario in large appliances, led by festive quarters, although demand moderated somewhat post-festive and most companies incurred higher expenditure on sales promotion.	RM cost inflation, particularly in copper, aluminium, to have an impact on RAC and other large appliances.
Cables continue to see strong demand scenario, to be further boosted on account of rising copper/aluminum prices, thus scope for margin expansion. Wires too has seen healthy growth across players.	Significant channel inventories in RAC, Fans, Air cooler to continue to impact sales momentum/pricing and hence margins for players in these categories. Moreover, GST led confusion in channel, led to impact on sales momentum for over 5 weeks.
Lighting segment see broad based volume growth while price corrections are moderating.	Contract manufacturers for RAC, Coolers see weak growth on lower primary sales by customers as well as lean season, adversely impacting operating leverage.
EMS players continue to see strong growth across most segments, thanks to the import substitution theme. Solar products (solar rooftop, solar pumps) continue to see strong momentum.	Most EMS players witnessed extended working capital scenario as bulk of sales execution happened in third month of the quarter.
Top picks: Polycab, KEI, Havells, Crompton, Eureka	**Stocks to avoid: Whirlpool, Voltas , Symphony**

Consumer Goods	
Positive highlights	**Negative highlights/concerns/risks**
Majority FMCG names have delivered multi-quarter high revenue and volume growth. Urban demand has shown early signs of recovery on the back of increased disposable income, RBI rate cuts, reduced Income tax rates.	Extended monsoons hurt players with summer portfolios. Additionally, GST 2.0 implementation created a 2–4% impact in the September as channel partners undertook de-stocking and consumers postponed purchases.
Demand has picked up in October and November, leading to better H2 further supported by harsh winters (*La Nina* effect).	
Top picks: Nestle, Asian Paints, Britannia and United Spirits	**Stocks to avoid: NA**

Energy	
Positive highlights	**Negative highlights/concerns/risks**
Refining strength boosted GRMs of refining companies	Low crude oil prices resulted in decrease in gas consumption, pressuring volumes of gas midstream companies as industrial users shifted to cheaper liquid fuels.
Low crude oil prices supported marketing margins for OMCs	Continued guidance cuts for ONGC production volumes and GAIL transmission volumes.
Top picks: RIL, PLNG	**Stocks to avoid: OMCs, ONGC, GAIL**

Sector Highlights

Engineering & Capital Goods	
Positive highlights	**Negative highlights/concerns/risks**
Power electrical equipment players across the HV value chain, transformers, switchgear, gensets, and related segments continue to benefit from robust execution, all-time-high order books, and multi-year-high operating margins. This strength is supported by improved pricing power, a favourable product mix, rising operational efficiencies, and higher CUF, all enabled by the ongoing Power T&D capex supercycle in India and select overseas markets. Large ticket-size HVDC ordering has also accelerated over the past six-eight months, highlighted by the Khavda and Bhadla HVDC wins by the Hitachi–BHEL consortium, and is expected to remain strong over the next 3–5 years, with no oversupply risk anticipated despite expansions in near to medium term. This outlook is underpinned by the NEP's planned INR 9.15tn Power T&D capex over 2022-32, which includes 8–10 additional HVDC projects. While premium valuations remain a concern across the sector, we believe the Power T&D and thermal pockets are still well-positioned to deliver high-paced earnings expansion.	While we remain cautiously optimistic of broader sectoral private capex reviving over the medium-term given strong corporate B/S, rising profitability levels, and increasing RBI CUF rate (~75% currently), it is currently ongoing in selective pockets - green hydrogen, RE power gen, data centers, electronics etc. Therefore, we remain directionally positive but selective to few growth pockets until secular private factory capex picks up. We remain cautious on ABB, Siemens, Thermax and Honeywell, given tepid private capex growth and limited margin visibility. For ABB and Siemens, a more constructive setup hinges on a revival in domestic Railways/Metro tendering and stronger export traction.
Top picks: BHEL, Hitachi Energy, GV T&D, CG Power	**Stocks to avoid:**

Home Décor	
Positive highlights	**Negative highlights/concerns/risks**
In Q2FY26, woodpanel players continued their market share gains with operating leverage resulting in margin imporvement.	In Q2FY26, performance for plastic pipe and tile manufaturers was muted due ot muted demand and extended mosnoons and lower government spends. Deferral of BIS and non-implemenatation of ADD remians a negative for plastic pipe manufacturers.
Top picks: Venus Pipes and Tubes, APL Apollo Tubes, Century Plyboards and Greenpanel Industries	**Stocks to avoid: Greenlam Industries**

Information Technology	
Positive highlights	**Negative highlights/concerns/risks**
Indian IT Services companies outperformed expectations in Q2FY26 with stronger growth, margin expansion and robust deal-wins. Overall, ZERO companies under our coverage reported QoQ decline in Q2 – versus eight companies reporting QoQ decline in Q1FY26. Tier-2 companies are likely to sustain their strong growth momentum.	We expect the demand environment to remain challenging for the next one–two quarters due to the macro and tariff-led uncertainty. We expect the growth for large-caps to be tepid in the near term due to macro headwinds.
Nearly all companies highlighted their reduced reliance on H1-B visas over the past few years, leading to greater investment in offshore and nearshore locations that have contributed to margin expansion.	A key risk is any adverse currency movement and sharp appreciation of INR vis-à-vis USD and other currencies can negatively impact financials.
Top picks: Coforge, Persistent, Mphasis, LTIMindtree	**Stocks to avoid: TechM, Birlasoft**

Sector Highlights

Media	
Positive highlights	**Negative highlights/concerns/risks**
PVRINOX posted a strong Q2FY26 with revenue (up 12% YoY) and EBITDA (up 28% YoY). PVRINOX turned profitable after two loss-making quarters. For PVRINOX- Ad revenue rose 15% YoY, marking its second-best quarter post-pandemic.	Ad revenues dipped for both Zee (down 11% YoY) and SunTV (13% YoY). Saregama reported a muted Q2FY26- revenue down 5% YoY.
Top picks: PVRINOX	**Stocks to avoid:**

Metals & Mining	
Positive highlights	**Negative highlights/concerns/risks**
Non-ferrous companies' EBITDA grew ~10% QoQ primarily aided by higher commodity prices. Steel volume up QoQ	Steel companies' EBITDA/t declined QoQ primarily due to lower steel prices partailly offset by fall in coking coal cost.
Top picks: Vedanta	**Stocks to avoid: Coal India, JSW Steel**

Ports and Logistics	
Positive highlights	**Negative highlights/concerns/risks**
Pricing scenario relattively stable, particularly in e-com parcel business. Port margins broadly steady.	Weaker than expected organic growth in Express parcel. GST cut uncertainty led to underutilisation of the infrastructure, thus impacted margin performance for most players. EXIM growth remain relatively steady and has not seen material uplift, despite rush for exports to US (before 50% tariff kicked in).
Top picks: Adani Ports, VRL Logistics, Blue Dart Express, Delhivery,	**Stocks to avoid: TCI Express, Container Corp**

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Sector Highlights

Pharma and Healthcare	
Positive highlights	**Negative highlights/concerns/risks**
Multiple domestic pharma companies on track for a first wave GLP-1 launch. EM/RoW businesses have done well. CDMOs are well-placed to show healthy growth driven by capex that has been undertaken. **Hospitals –** CGHS price hikes to benefit and offset losses from new hospitals. Potential Resolution of cashless disruptions and agreement with private insurance companies to remove overhang. Recovery in international patients key. Bangladesh patients back 60% in Oct and opening of Jewar Airport by end CY to aid growth. Hospitals high growth to continue driven by strategic bed expansions and ramp-up in existing hospitals. **Diagnostics –** Focus on volume led growth with penetration in Tier-II/III cities. Some benefit from GST rate reduction on consumables. **Medplus -** Private label contribution and margin strong; SSSG for 12+ months improving gradually. Potential success in franchisee model could further accelerate profitable growth and improve RoCEs Potential tariff deal to mitigate margin impact for Laxmi Dental.	Price erosion witnessed in gRevlimid with sales of this product to be muted in H2FY26. GST rate rationalisation led to minor disruptions in India business. Potential risk of US policy changes regarding pricing and tariffs continues to loom. Litigation risk for Zydus and Lupin regarding gMybertriq may arise. Prolonged monsoons, festive season and high base affected growth for the quarter. Hospital bed expansion to put pressure on margins and RoCEs Delay in insurance empanelment for new hospitals to hurt growth and delay breakeven timelines. **Pharmacy –** Weak SSSG and high employee attrition for Medplus. Unable to achieve store expansion guidance.
Top picks: Divi's Laboratories, Neuland Labs, Ajanta Pharma, Lupin, Aurobindo, Jubilant Pharmova, Max Healthcare, Apollo Hospitals, Vijaya Diagnostics, Metropolis Healthcare	**Stocks to avoid: Zydus, Sun Pharma, Cipla, Alkem**

Real Estate	
Positive highlights	**Negative highlights/concerns/risks**
Debt continues to be under check as collections and cash flows remained healthy during the quarter. Launch pipelines remains strong for all the developers	Lack of new project launches led to softer pre-sales.
Top picks: Prestige, Brigade	**Stocks to avoid:**

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Sector Highlights

Retail	
Positive highlights	**Negative highlights/concerns/risks**
GST cuts aided demand sentiments across large Electronics such as Television and lifted up the growth for the electronic retailers. Cooling products reported muted sales despite GST rate cuts due to a relatively colder weather. Jewellery companies reported sustained strong growth driven by early festive demand. Margins as well came in healthy across the companies driven by improved productivity. The demand momentum has sustained in Q3FY26 as well with jewellers reporting a strong Diwali and Dhanteras sale.	QSRs are still under pressure and reported negative-to-flat SSSG's, barring Jubilant and RBA. The demand scenario stays similar to Q1FY26. The missing productivity continues to impact margins across the board along with companies resorting to value offerings at the cost of gross margins, which was observed in Devyani and Sapphire. Footwear companies reported another soft quarter of growth as the demand conditions continue to stay muted. GST rate cuts are yet to play out and full results will be visible in Q3FY26.
Top picks: Titan, Jubilant FoodWorks, Vmart, Aditya vision	**Stocks to avoid: Bata, Vedant Fashion**

Telecom	
Positive highlights	**Negative highlights/concerns/risks**
Supreme Court has passed an order to Government of India to reconsider and recalculate AGR dues and any interest and penalty pertaining to it. Telcos are optimistic about future growth supported by continued investments in home services and data centre infrastructure.	Restructuring the tariff architecture is essential to improve financial health of the industry and sustain future investments.
Top picks: Bharti Airtel	**Stocks to avoid:**

Utilities	
Positive highlights	**Negative highlights/concerns/risks**
In Q2FY26, heavy monsoon softened power demand, impacting cooling load, industrial activity, and lowering PLFs for major utilities , while prolonged cloud cover weighed on solar generation in key states. On the infrastructure front, transmission rollout was slower due to RoW hurdles and labour shortages that persist, but these constraints are expected to ease in H2FY26, paving the way for smoother execution. Demand is expected to rebound and with renewable additions gathering pace, the macro backdrop is turning favourable, and we remain directionally positive on generation growth and overall sector momentum.	In Q2FY26, power sector performance was muted as electricity demand grew just ~3% YoY, with a heavy monsoon dampening cooling load and industrial consumption. Lower demand led to reduced PLFs for thermal utilities, weaker merchant prices, and curtailments for some renewable players. We remain positive, however, as demand is expected to recover in H2, likely providing some relief to utilities and this may necessite better peformance in a seasonally stronger H2. For IEX, the market coupling framework beginning Q4FY26 could be a headwind, as it may dilute its pricing advantage and reduce market share, potentially moderating its growth trajectory despite a recovery in overall power demand.
Top picks: NTPC, ACME Solar, CESC	**Stocks to avoid: PowerGrid, IEX**

Sector Highlights

Specialty Chemicals	
Positive highlights	**Negative highlights/concerns/risks**
Benign input costs, particularly commodities and crude linked organic petrochemicals aided gross margin improvements. Demand in a few pockets has been improving, especially in refrigerant gases, fluoropolymers and a few agrochemicals.	USA related tariff continue to weigh heavy on performance, direct and second degree impact will likely spill-over into 3QFY26. Overcapacities in China across chemical commodities continue to impact product spreads.
Top picks: SRF,Jubilant Ingrevia	**Stocks to avoid: PI Industries**

Internet	
Positive highlights	**Negative highlights/concerns/risks**
Leading indicators continue to improve with unique business enquiries growing in double digits and repeat customer rate improving. We expect lagging indicator—supplier retention—to improve ahead. Consolidated collections grew 14% YoY, sustaining mid-teens growth. In IEL, Naukri billings grew +10.8% YoY, better than previous quarter. Management remains cautiously optimistic on delivering growth momentum in coming quarters despite macro uncertainities. 99acres witnessed substantial improvement in traffic share supported by elevated marketing expenditure while Jeevansathi profitability sustained positive trend. In Eternal, Blinkit reported NOV growth of 137% YoY—ahead of expectations. Control over marketing expenses and operation efficiencies led to curbing of losses on adjusted EBITDA levels. In District, management expects growth to be ~30% YoY while absolute losses are likely to reduce going forward.	In Just Dial, collections witnessed further slippage ~2% YoY while margins too witnessed moderation led by increased marketing spends. Company once again deferred its announcement of much awaited capital allocation policy. For Route, revenue growth remain muted at +0.5% YoY, partially impacted by structural decline in SMS market. There were certain write-offs due to issues with one of the vendors in Middle-East. Management is now shifting its focus to margin improvement at the cost of growth.
Top picks: IndiaMART, Eternal, Info Edge	**Stocks to avoid: Just Dial, Route Mobile**

Asset Management/MF RTAs	
Positive highlights	**Negative highlights/concerns/risks**
Sustained inflows despite weak equity markets led to moderate growth in QAAUM. Blended yields for AMCs held firm. Introduction of the new asset class, “SIFs”, is set to be a positive for the industry, enabling broader product offerings. Acquisition of Ascent to help diversify KFIN’s revenue stream.	SEBI released a discussion paper (dt. 28/10/25) proposing disallowance of additional 5bp charge by AMCs which will hurt profitability of listed AMCs. Other income declined given weak equity markets.
Top picks: KFINTECH, HDFCAMC, NAM	**Stocks to avoid:**

Sector Highlights

Insurance	
Positive highlights	**Negative highlights/concerns/risks**
VNB margin expanded for life insurers in Q2FY26 as the product mix shifted away from linked products towards protection, NPAR (higher margin products), along with higher rider attachment.	Non-availability of ITC will weigh on VNB margins for life insurers. For SAHIs, the margin impact will be more than for general insurers, which can partly absorb the hit through their diversified business mix.
GST exemption on individual life and health products is expected to boost demand.	CoRs remain elevated hurting underwriting profits.
Lowered GST rate on motor is likely to boost vehicle sales.	PSU general insurers continued to aggressively gain market share as indicated by growth in OD/TP segments.
Top picks: SBILIFE, Max Financial, STARHEAL	**Stocks to avoid:**

Capital Markets	
Positive highlights	**Negative highlights/concerns/risks**
BSE delivered strong ADPTV at INR150bn (+82.9% YoY/0.7% QoQ).	The expected discussion paper by SEBI on increasing derivatives tenure could have a material bearing on profits for exchanges.
BSE is aggressively expanding its colocation facility and will; add another 70–90 racks by FY26E.	CDSL's cost base has grown considerably and the company continues to guide for high-tech costs.
Robust IPO market rebound and strong corporate action activity during the quarter drove IPO and corporate action segment revenues by 19.2% YoY/195.2% QoQ.	
Strong IPO pipeline to aid in CDSL's IPO revenue and transaction charges growth.	
Top picks: BSE, CDSL	**Stocks to avoid:**

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The portfolio assigns weights across stocks across based on sectors and stocks:

- Universe: NSE200 Index.

- Methodology: Based on fundamental analysis of macroeconomic and stock-specific factors, valuations and earnings outlook, the sectors and stocks are assigned a weight relative to the benchmark.

- Labelling: The portfolio is labelled as 'Nuvama Institutional Equities Large-cap Model Portfolio' and includes all sectors and stocks within the framework of NSE200. Only those stocks covered by Nuvama Institutional Equities' research desk are part of the portfolio.

- Launch date:17 November 2025.

- Investment horizon: Recommendations are on a 12-month horizon.

- Frequency of portfolio review: About once a quarter, but frequency could vary based on macro/stock developments.

- Risk disclosures: The portfolio carries general systemic and market risks such as volatility and lack of liquidity, and may or may not mitigate Model Portfolio performance in adverse market conditions, unforeseen news announcements and rumours, among others.

- Benchmarking: Weights by sector in the portfolio are measured against a baseline of stock weights in the Nifty Index. The weights are calculated on every update.

- Market data sources: Bloomberg, Capitaline.

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